

PT1 LG5-7 · Proof of title: comprehensive exam notes

Prepared from the HKU Property Transactions 2026-27 LG5-7 handout (revised September 2026) and both uploaded slide decks. These are 14 thematic notes pages, with detailed rules, case explanations, practical requisitions, integrated problem answers and a source audit. Page numbers below identify topics, not physical printed sheets.

Reading conventions and scope

N ¶n refers to the paragraph number in the extracted Word handout, counting paragraphs in the original document including empty paragraphs. **I s.n / II s.n** identify actual slides in Parts I and II. References at each page identify the source coverage; examples and answer frameworks are explanatory synthesis. Case descriptions reflect the supplied course materials, not independently checked judgments. Where the sources disagree, the disagreement is preserved in Page 14. Statutory descriptions are course-based: the amendments and exact wording applicable to a dated examination problem must be checked against the relevant legislation. No claim is made that this pack independently verifies the law as at October 2026.

The handout is headed lectures 5, 6 and 7, “Proof of title (application)”. Its remark that its examples are not exhaustive is a description of course scope, not a limitation on the user’s requested preparation. These notes cover the substantive topics in all three uploads. Earlier lectures on roots of title and later LG8 on formal S&P terms are cross-referenced where necessary, but their missing materials are not reconstructed as if supplied.

Abbreviations: **V** vendor; **P** purchaser; **S&P** sale and purchase agreement; **CPO** Conveyancing and Property Ordinance (Cap 219); **LRO** Land Registration Ordinance (Cap 128); **BO** Buildings Ordinance (Cap 123); **BMO** Building Management Ordinance (Cap 344); **CO** current Companies Ordinance (Cap 622); **DMC** deed of mutual covenant; **BA / BD** Building Authority / Buildings Department; **IO** incorporated owners / owners’ corporation; **PR** personal representative; **POAO** Powers of Attorney Ordinance; **RT** resulting trust; **CICT** common intention constructive trust; **UBW** unauthorised building works; **VP summons** vendor and purchaser summons.

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Page 01 · The master framework: giving, showing and classifying title

Sources: N ¶12–18, 894–928, 942–958; I ss.2–8; II ss.54–56.

1. Two separate contractual obligations

Giving good title concerns what V can actually convey at completion: the estate or interest promised, with the agreed rights, free of unacceptable encumbrances or vulnerability to adverse claims. **Showing good title** concerns timely conveyancing evidence: documents, explanations and candid answers enabling P to investigate and decide whether to complete. V can have an ultimately defensible title yet fail to show it properly. Conversely, producing a neat document bundle cannot excuse inability to give the estate promised.

The distinction prevents a common exam error: citing evidence first supplied at trial as though it satisfied a duty to answer requisitions before completion. A later expert report may support V's underlying title, but it does not automatically erase an earlier breach of the duty to show it.

Absent an express contractual timetable, title must be shown within a reasonable time before completion: **Ng Chek Kok v Kiu Wai Ming [1992] 1 HKLR 5 (CA)**. It must be early enough to permit proper requisitions: **Yeung Sau Chuen Sammy v Chung Chun Ting [1997] 4 HKC 34**. Reasonableness depends on the contractual period, complexity, availability of evidence and time needed to investigate; dumping documents just before completion may defeat the purpose of the duty.

2. The two central teaching examples

Kok Chong Ho v Double Value Developments Ltd [1993] 2 HKLR 423 (CA): the assignment/DMC plan and occupation permit showed different numbers of flats. BA confirmed no subsequent permission. An architect's affirmation offered at trial argued that only other extra flats were at risk and Government re-entry was not a real risk. The teaching point is timing: good title had not been shown when required. Do not turn the first-instance "no real risk" finding into the appellate outcome.

Active Keen Industries Ltd v Fok Chi Keong [1994] 1 HKLR 396 (CA): the occupation permit allowed seven tenements but nine appeared in the assignment plan. P requisitioned on 25 September; V's architect letter arrived on 21 October, followed by unhelpful replies shortly before 25 October completion. The letter said the subject flat was self-contained and the division non-structural, but did not squarely explain the extra units and all relevant enforcement facts. The court stressed **candour and commonsense**: P is not an adversary. V should reveal facts that permit a sound assessment, including BA's knowledge and enforcement history, rather than simply label P's points misconceived.

Active Keen also supports the narrower substantive proposition that UBW confined to other flats need not infect the subject flat. These propositions coexist: V may ultimately have a good substantive answer yet fail to communicate it adequately before completion.

3. What must be produced?

Under **s.13(1) CPO**, work through the statutory chain from the relevant intermediate root, or ultimate root if there is no intermediate root, to V. Produce originals or properly certified copies of relevant documents affecting title, whether registered or unregistered, subject to statutory exceptions. A land search is an investigative starting point; registration alone does not establish valid execution, discharge, beneficial ownership or physical compliance.

De Monsa Investments Ltd v Whole Win Management Fund Ltd [2011] 4 HKLRD 478: a 1979 seawater-pump leasing agreement was replaced by a 1988 agreement. The superseded instrument did

not need production on the facts. Ask whether an old document still affects current title rather than demanding every historical paper indiscriminately. The detailed statutory test for identifying a root is outside the supplied LG5–7 material; do not substitute the separate 15-year execution presumptions for that test.

4. Classify the problem before selecting a remedy

Classification	Meaning	Typical example	Correct next question
Failure to show	Adequate, timely evidence not supplied	Unexplained plan/OP discrepancy	What was disclosed, when, and did it answer the requisition?
Missing estate / bad title	V lacks all or part of the promised legal or equitable estate	Void assignment; wrong shares conveyed	Who still owns the missing interest and how will it be transferred?
Encumbered title	A burden binds the estate	Mortgage; easement; tenant; repair liability	Was the burden accepted by contract, discharged or validly excluded?
Defeasible / doubtful title	Estate exists but can be challenged or lost	Self-dealing transfer; lease breach	Is there a real risk of a successful adverse assertion?
Mere conveyancing matter	Completion machinery can satisfy the obligation without a substantive title failure	Stamp undertaking; occupier with no continuing right	Will the agreed completion obligation actually be fulfilled?

The categories overlap: a mortgage both burdens title and may permit sale; an IO liability may later become a charge; a missing release may be an evidence problem or an actual subsisting encumbrance. Label the legal mechanism, not merely the defect's name.

5. The real-risk standard and its limit

MEPC v Christian-Edwards [1981] AC 205 and **Chi Kit / Lucky Health (2000) 3 HKCFAR 268** place a very high burden on V to demonstrate that P is not at risk of successful assertion of an adverse interest. The handout states the standard as beyond reasonable doubt, using **Re Stirrup's Contract [1961] 1 WLR 449** ("without any blot or possibility of litigation"). This is conveyancing title doctrine; it does not make every associated civil claim subject to the criminal burden.

Apply that standard with the **Mexon Holdings Ltd v Silver Bay International Ltd [2000] 1 HKLRD 935 (CFA)** approach: a willing V and willing P, both with reasonably robust commonsense, seeking to complete their bargain. A fanciful possibility is not automatically a title objection. A bare assurance that enforcement is "unlikely" is not automatically enough either.

The handout's important analytical qualification is that **no-real-risk reasoning cannot itself transfer a legal estate that never passed**. Where an assignment is void and V lacks the estate, silence and elapsed time are not substitutes for a confirmatory conveyance or vesting order. First apply any statutory conclusive presumption; then identify whether the residual problem is a missing estate or merely exposure to avoidance. The handout acknowledges doctrinal tension over defective corporate attestation; present its categorical "bad title" argument as the handout's analysis, alongside the cases permitting ratification or no-real-risk proof.

6. An answer sequence that works across LG5–7

1. Identify the bargain: exact land/shares, permitted use, vacant possession or tenancy, disclosed burdens, completion date, special warranties and exclusions.
2. Identify the problematic link or current circumstance and classify it.

3. State the legal route by which it affects P: retained beneficial interest, failed conveyance, power of sale, re-entry, statutory charge or enforceable occupancy.
4. Check dates, registration/priority and statutory presumptions.
5. Apply the risk standard to the actual property and burden, with arguments both ways.
6. Specify the requisition and evidence needed; separately assess the adequacy and timing of V's reply.
7. Assess a genuine cure, any post-completion proposal and substantial performance.
8. Decide whether P must complete or may terminate, when, and what procedure or relief is appropriate.

Reusable opening: "The issue is both whether V can convey the contracted estate at completion and whether V has shown that ability in time for proper investigation. The apparent defect is [classification], because [mechanism]. Its effect must be assessed under [statute/case], together with the contractual allocation of risk."

Page 02 · Death, estate administration and co-ownership

Sources: N ¶23–62, 488–492; I ss.9–12.

1. Follow the route by which title left the deceased

A death certificate establishes death, not the destination of a tenancy-in-common share or authority to dispose of estate property. Obtain the grant of probate or letters of administration, the will where relevant, the appropriate transfer instrument and proof that the recipient was entitled.

Testacy: an executor assenting real estate to a devisee uses an **assent in writing**; no deed is required for that assent under the course account. **Intestacy:** an administrator assigning to a beneficiary uses an **assignment by deed**. A sale to a third-party purchaser requires the proper conveyancing instrument; do not assume that the “written assent” route applies to a commercial sale merely because the deceased left a will.

Pacific Harbor Advisors Pte Ltd v Winson Federal Ltd (HCMP 1285/2015, 21 August 2015): the handout emphasises that a beneficiary under a will does not acquire an interest in a particular estate asset before assent. Entitlement under a will and actual vesting of the particular property are distinct stages.

Chan Chiung Yo v Sam Yu Lik Eric [2024] HKCFI 1377: the will contained a ten-year restriction on selling certain landed properties, raising a problem for a parking-space sale. Read the restriction and exceptions; a grant of probate is not itself proof that every proposed sale is unrestricted. Ask V to identify the legal basis for selling despite the apparent restriction. The supplied materials describe the issue but do not provide a full judgment analysis establishing all exceptions or the ultimate reasoning.

Historical estate-duty evidence may be relevant for earlier deaths or gifts. The handout and slides differ in shorthand about abolition; use the actual transitional date applicable to the death rather than an unqualified statement that all old title chains are duty-free.

2. Sale for estate administration versus distribution to beneficiaries

Chun Hon Wai v Junichi Takashima [2000] 2 HKC 777 (CA), applied in **Sze King Lun v Nicerich Investments Ltd [2001] 1 HKLRD 243**: once the PR’s power to sell is established, a purchaser ordinarily presumes a sale is for administration and need not investigate whether it is necessary. That protection supports ordinary estate sales and avoids making buyers supervise administration.

It does not excuse known evidence of impropriety. **Chan Yat Wah v Moonland Enterprises Ltd [2001] 1 HKLRD 45** involved existing proceedings alleging that the executrix was selling for her own benefit. The presumption could not simply dispose of that warning. By contrast, the slides cite **Lau Siu Ying v Wong Cheung Tai (HCMP 669/1993)** for litigation considered bound to fail because the claimed interest arose under an unregistered deed of trust. The quality and priority of the alleged claim matter; not every allegation invalidates an estate sale.

Distribution is different: where the PR distributes property to particular beneficiaries, investigate their entitlement and any omitted beneficiary. **Sun Sek Haw v Au So Kum [1999] 3 HKC 92 (CA)**: the deceased left a husband and five children, but the administrators assigned the property to the husband alone. His status as administrator did not establish sole beneficial entitlement; title was defective.

So Mariko v Tse Chun Chung John (CACV 212/2010, 15 April 2011): a solicitor who acted in the estate and assignment declared that the confirmors were all the beneficiaries. The probate affirmation

would have been the best available evidence but was not necessarily conclusive: it recorded the administrator's account and could itself omit someone. After twelve years without a missing beneficiary claim, the solicitor's declaration was proper conveyancing evidence and sufficed on the facts. The lesson is neither "always demand the probate affirmation" nor "any declaration suffices"; assess the declarant's knowledge, records, elapsed time and contrary evidence. **Ample Happiness [2022] HKDC 1007** and **Liu Wai Yin v Falic Trading [2023] HKCFI 1295** are additional applications flagged by the handout without full summaries.

The slides' widow-half/children-quarters example is illustrative, not a complete statement of intestacy law. Actual distribution depends on the applicable statute, date, surviving relatives, statutory entitlements and estate composition. Do not reproduce those fractions automatically in an exam.

3. PR self-dealing and undervalue

s.55 Probate and Administration Ordinance; Feerni Development Ltd v Daniel Wong & Partners [2001] 2 HKLRD 13: a PR's sale to himself or a family member can be voidable at the instance of another interested person. Separate authority to sell from fiduciary propriety of the particular purchaser and price.

Lam Sik Shi v Lam Sik Ying (HCA 1605/2004, 3 October 2016): an assignment at serious undervalue in breach of administration duties was set aside. That creates a genuine chain-of-title concern: a later registered owner may derive title through an impeachable transfer. Examine disclosure, consideration, beneficiaries' informed consent and any effective ratification or court authorisation rather than assuming registration sanitises the transaction.

Integrated trigger: an administrator transfers without consideration to his child, who now sells. Analyse PR powers, beneficiary entitlement, s.55/self-dealing, undervalue, possible trust interests and P's notice together. Each addresses a different route to challenge.

4. Joint tenancy or tenancy in common?

Unsevered joint tenancy: survivorship operates; the deceased's interest does not pass through his estate. Produce the death certificate for this link. The absence of the property from the probate asset schedule is consistent with survivorship, not proof of a missing estate asset.

Tenancy in common: no survivorship. Follow the deceased's share through probate/intestacy and assent/assignment. The surviving co-owner does not take the deceased's share just because he remains in possession.

Check severance before relying on survivorship. Mak Pui Ki v Ho Wing Ha (HCMP 898/2020, 22 October 2020): a "secret" mortgage severed the joint tenancy; the remaining owner did not acquire that interest by survivorship. The handout contrasts **Ho Wai Kwan v Chan Hon Kuen**, where a charging order did not destroy the joint tenancy. Do not treat mortgages and charging orders as interchangeable.

Wong Anita Shu Ting v Yuen Yiu Chung (HCMP 710/2021, 26 January 2022): a consent order and transfers between former spouses amounted to equitable severance; title derived from the transferee spouse was good. Read the history of agreements, court orders and conduct rather than relying only on the original joint-tenancy wording.

5. Requisition and conclusion template

"Please produce the death certificate, grant, relevant will and assent/assignment; establish the transferee's entitlement and PR's power to dispose; explain any sale restriction or self-dealing; and confirm with supporting documents whether the joint tenancy was severed before death."

A sound conclusion identifies which route is proved. "The death certificate alone suffices" is defensible only after establishing the unsevered joint tenancy; a grant alone is insufficient to establish a disputed

beneficiary's ownership or cure fiduciary wrongdoing.

Page 03 · Mortgages, charges, release and old encumbrances

Sources: N ¶174–110; I ss.14–16.

1. Identify every security interest and its effect

An undischarged mortgage or charge burdens the property; a power of sale also puts ownership at risk. Examine legal/equitable character, mortgagor, mortgagee, secured property/shares, dates, memorial numbers, repayment terms, substitutions and every release. Search the **Deeds Pending Registration** section too: **Goldenwick Ltd v Standard Chartered Bank (Hong Kong) Ltd [2008] 3 HKLRD 266** shows that a pending instrument cannot simply be ignored.

A DMC charge is an equitable charge created under the DMC mechanism, not automatically a court charging order. Consequently, do not assume the LRO five-year rule for judgments/charging orders extinguishes a DMC charge.

2. The ordinary release routes

Interest	Course route	Investigation required
Legal mortgage/charge	Deed under s.4 CPO; receipt written on or annexed to charge under s.56 CPO	Correct security and property; effective execution by the mortgagee or authorised agent
Equitable mortgage/charge	Written release under s.5 CPO	Proper releasor, scope and authority; assess any claimed exceptional de facto discharge
Registry entry	Vacation removes the entry's registration	Does not by itself prove the underlying interest was released

Siu Wing Yee Angeline v Earning Yield Ltd [2013] 6 HKC 281: removing registration did not extinguish the charge itself. Never infer “clean register = discharged interest”. Registration, validity and extinction are different questions.

Cheung Fuk Yu Danny v Vu Poi Van (DCCJ 2817/2013, 19 March 2015): a bank receipt lacking a company chop and express agent-authorisation wording was accepted under s.23 CPO on the facts. There was no contrary evidence of authority and no longstanding bank challenge. Ask whether the receipt appears duly executed in its context; do not impose deed/seal requirements mechanically on every statutory receipt.

Chun Tat Paper Co Ltd v Wong Ip Cheng [2013] 1 HKLRD 571 (CA): an equitable charge's discharge could be inferred from subsequent dealings and lack of complaint despite no formal written release. Treat this as a fact-dependent exception requiring evidence; it does not make every unpaid or unrecorded charge harmless.

3. Wrong release: debt repayment and legal release differ

Chan Shun v Ng Yiu Leung Danny (CACV 365/2008, 13 November 2009): a wrong memorial number and bank confirmation of repayment did not provide an effective release on the facts; a fresh release was required. Determine whether the instrument objectively identifies the correct security or releases something else. “Just a typo” requires proof, not assertion.

Trump Well International Ltd v Siu Fung Knitting Factory Co Ltd (HCMP 2408/1998, 7 January 1999): an equitable mortgage over an uncompleted flat was followed by an identical legal mortgage

after completion, but the release named the earlier equitable mortgage. The handout states that the earlier security had merged into the legal mortgage and that the legal mortgage remained undischarged. The slide account instead stresses merger reasoning appearing only at the VP hearing, not in replies. Preserve both lessons: identify the actual surviving security and give the explanation/evidence before completion. Do not say that releasing the superseded equitable mortgage necessarily releases the later legal one.

Cali Enterprises Ltd v Chongmark [1986] HKLR 816, following **Cumberland Court (Brighton) v Taylor [1964] Ch 29**: “feeding the estoppel” may operate retrospectively once an actual mortgage discharge occurs. It is not a substitute for procuring the discharge, nor a universal right to force P to complete while security remains outstanding.

4. Untraceable encumbrancer: s.12A CPO

Where the person entitled to redeem faces an encumbrancer who is outside the jurisdiction, cannot be found, is unknown, or whose identity is uncertain, the court may authorise payment into court sufficient to redeem principal and interest.

The stages are:

1. Prove the statutory circumstances and the applicant’s entitlement to redeem; seek direction/approval for payment in.
2. Comply with directed notice and payment. The court may then declare the land free of the encumbrance.
3. A person entitled to the fund may later apply for payment out.

Authorities: **Re Cheung Chi Wang [2002] 1 HKC 326**; **Ip Johnny Chong Ching v Ip Park Sing [2022] HKCFI 3743**; **Re Hau Hung [2022] HKCFI 3137**; **Feign Larry v Wan Yung Hing [2023] HKCFI 1791**. The discharge comes through the statutory process; inability to find the creditor is not itself a release.

5. Limitation route for old mortgages

The slides identify **s.19(1) Limitation Ordinance**: twenty years for an action to recover mortgage principal; **s.19(5)**: six years for interest. Start with when the right to repayment accrued under the mortgage, then investigate acknowledgments, payments and other facts affecting time. Age since execution alone is insufficient.

Lee Hung Cheong v William Tsokson [2023] HKCFI 872, following **Fung Kam Cheung v Kwok Yiu Wing [1991] 1 HKC 321** and **Yau Pak Hin v Ho Lung Thomas Ignatius (HCMP 628/2012, 31 July 2013)**, illustrates obtaining a declaration that an old mortgage was no longer subsisting/enforceable by operation of limitation. Distinguish that adjudicated result from merely asserting that the debt must be time-barred.

6. Holistic answer

For a release signed by an attorney of a foreign bank, analyse **both** the mortgage release and the POA: form of release, donor’s execution of the POA, scope of power, non-revocation, foreign-law evidence and the relevant old/new corporate regime. A defect in the authority to sign a release may leave the mortgage outstanding even though repayment is proved. Pages 09–11 provide the connected rules.

Page 04 · Registered litigation, charging orders and hanging S&Ps

Sources: N ¶142–183; I ss.19–22.

1. Charging order: extinction versus priority

A charging order securing a civil judgment encumbers title: **Chief Access Ltd v Lau Kwong Wing (HCA 892/2011, 24 July 2012)**. Ordinarily obtain evidence of discharge under **s.20B(4) High Court Ordinance**.

Under **s.17 LRO**, registration ceases to have the relevant priority effect after five years unless renewed. That does **not** itself extinguish the debt or order: **Si Tou Choi Kam v Wealth Credit Ltd [2017] 1 HKLRD 1074**, and the CA decision **[2018] 4 HKC 247**. The holder of a charging order is not automatically a purchaser for value under **s.3(2) LRO**.

Ocean Rich Investment Co Ltd v Leung Yiu Bui (HCMP 1903/1998); **Hung Heung Keng v Challenge Way Investment (HCMP 789/2006)**; **Wong Chung Keung v Cheung Yik Tung [2018] HKCFI 2722** support protection for an intervening bona fide purchaser for valuable consideration whose interest is registered between expiry and re-registration under **s.3(2) LRO**.

Worked timeline: CO registered in 2019; no renewal by 2024; P's qualifying interest registered in 2026 before any renewal. Investigate the actual dates and P's status; the intervening registered interest may be protected. If renewal occurred before P's registration, the answer changes. If P is a volunteer, the statutory purchaser protection cannot simply be assumed. An "expired" entry is therefore a priority problem requiring the full sequence, not permission to ignore the register.

2. What qualifies as a *lis pendens*?

A pending action must assert a claim affecting land, not merely a personal liability that could later produce land execution. Inspect the pleadings and relief rather than the case caption.

Shing Shu Lung v Shing Kam Chuen (HCA 2067/2013, 7 July 2017): damages/account/fiduciary allegations and a restraint on sales were treated as personal claims on the facts. A debt claim "may affect" land if a later judgment is enforced by charging order, but does not itself "affect" land. A breach-of-trust label is not conclusive: distinguish a personal remedy from a claim to a proprietary interest.

Nanyang Finance Co Ltd v Chan Kwok Wing [2004] 1 HKLRD 869 (CA) and **Sun Ngai International Investment Ltd v Zhang Suhau [2009] 1 HKLRD 48**: matrimonial proceedings asserting appropriate property relief can constitute a proprietary claim and a title blot. Not every claim for maintenance automatically qualifies; examine the combined relief sought.

Wide Power Corp Ltd v IO of Manhattan Court [2015] 5 HKC 269: an injunction to remove DMC-breaching structures was not an interest in land for this purpose. Yet the underlying DMC breach may still matter to good title through enforcement risk. Registrability and title impact remain separate.

3. Purchaser's lien and responsible pleading

Liu Chi Keung v Law Sim Yuk [2006] 4 HKLRD 385: a purchaser's claim to a lien securing money paid under an aborted S&P can affect land. When the facts support it, claim the lien expressly alongside repayment relief. Do not manufacture a proprietary prayer solely to justify registration; the claim must be legally supportable. Malicious registration can lead to damages: **Fung Kan Wai v Leung Shui Fat [1999] 4 HKC 70 (CA)**; **Tai Yip Dyeing Factory Ltd v Kong Hoi Sang [2007] 1 HKLRD 608**.

A lis pendens also requires renewal after five years under s.17 LRO. Check both the litigation's substantive status and its registration history; a stale entry may still require explanation.

4. Foreign land-related orders

Cova Enterprises Ltd v Tjanaka [2004] 1 HKLRD 199: a Singapore order could create a real risk of a Hong Kong action affecting the interest claimed. The handout says that a foreign land order cannot be registered as a Hong Kong lis pendens and is not registrable under the specified reciprocal-enforcement money-judgment route. That does not make the substantive threat irrelevant. Analyse the order's nature and prospect of local proceedings. This course example should not be generalised into a statement about every modern cross-border judgment recognition regime.

5. Hanging S&P agreements

A specifically enforceable S&P can confer an equitable interest on the first purchaser. A registered agreement without a following assignment is therefore prima facie a burden. Search pending registration as well: **Kong King Ong Alexander v Kan Heung Wing [2013] 1 HKLRD 1136**.

Require evidence that the earlier purchaser no longer has an enforceable claim to the property:

- **Guang Xin Enterprises Ltd v Leung Kwai Mui (HCMP 2024/1996)**: prior purchaser had already recovered damages; no real risk of asserting the earlier purchase interest on those facts.
- **Hansun Investment Ltd v Sincere Union Development Ltd [2008] 4 HKLRD 442**: the earlier purchaser accepted V's repudiation and demanded the deposit back, discharging further performance; vacation could be ordered. A remaining personal obligation to repay money need not preserve a right to obtain conveyance.

Caution: investigate whether a purchaser's lien or proprietary claim to secure repayment remains. "Contract terminated" and "all proprietary claims extinguished" are not necessarily identical propositions. Obtain the termination correspondence, settlement, judgment, satisfaction evidence and any release/lien discharge; do not infer waiver from inactivity alone.

Page 05 · Trusts, gifts, nominations, occupiers and tenancies

Sources: N ¶¶65–71, 114–132, 334–357, 374–444; I ss.13, 17–18; II ss.2–7.

1. Registered ownership is only the start

A person other than the registered owner may hold a beneficial interest, tenancy or occupation right. Interests arising by operation of law, such as a resulting or constructive trust without a written instrument, may be unregistrable; absence from the register is then unsurprising. A written trust instrument capable of registration presents a different LRO priority question.

Equity's darling is the bona fide purchaser of the legal estate for value without actual or constructive notice. Ask each element separately. Value need not equal full market price: **Ng Luk Mui v Shiu Tsun Wai Vincent [2011] 5 HKLRD 707 (CA)**. But value alone does not establish good faith or absence of notice. Notice may arise from documents, occupation, inquiries or facts that a reasonable inspection would reveal: **Kong Lin Yeung v Lai In Peng [2012] 4 HKC 128**.

2. How the beneficial interest arises

Purchase-money resulting trust: A provides purchase money but title is taken in B's name; absent evidence of a gift or applicable counter-presumption, B may hold for A in proportion to the contributions. Identify who funded the deposit/acquisition and the intention at the relevant time. Do not assume that every later household payment changes ownership.

Common intention constructive trust: an express or inferred common intention to share beneficial ownership, together with detrimental reliance, can establish an interest. **Liu Wai Keung v Liu Wai Man [2013] 5 HKLRD 9**: a family home was put in the sister's name to obtain her preferential bank mortgage; the brother funded the deposit, occupied and paid outgoings/mortgage. The shared understanding and reliance made it unconscionable for the sister to assert sole beneficial ownership.

Prime Credit Ltd v Yeung Chun Pang Barry [2017] 4 HKLRD 327 (CA): in a domestic, especially Chinese family, context, consider the whole circumstances; explicit property discussions may be uncommon and direct purchase-money contributions are not the only evidence. This does not dispense with identifying common intention and reliance.

Re Mok Wut Man [2020] HKCFI 1357 addresses beneficial ownership of a home in joint names; do not transfer a sole-name starting point mechanically to a jointly titled couple. The handout additionally directs readers to **Chin Nai Man v Chin Yat Keung Alex [2020] HKCFI 403**; **Mak Mui v Pang Kit Man [2021] HKCFI 125**; **Au Yeung Pui Chun v Cheng Wing Sang [2021] HKCFI 463**; **Tsang Hin Yi Hubert v Cheung Lai Ping [2022] HKEC 554** for summaries/applications, without supplying their full holdings.

Mortgage instalments: they can support the inferred intention/reliance analysis. **Tong Kwai Ying v Poon Kwok Sin (HCA 2790/1996)** requires strong grounds to infer an intention to acquire an interest; do not label all post-acquisition instalments automatic purchase-money resulting-trust contributions. The handout also cites **Pettitt v Pettitt [1970] AC 777** and **Tinsley v Milligan** for the broader contribution discussion.

3. Presumptions and actual intention

Actual evidence of intention takes precedence over fallback presumptions. **Lavelle v Lavelle [2004] EWCA Civ 223** explains the distinction: an intended beneficial gift transfers beneficial ownership; an intended retention produces a trust; presumptions assist where evidence is absent.

Relationship/transfer	Course treatment	Exam caution
Husband → wife; father → child	Presumption of advancement	Rebuttable by evidence; not conclusive ownership
Male fiancé → female fiancée; man → de facto wife	Advancement discussed; Cheung Pui Yuen v Worldcup Investments Inc (2009) 12 HKCFAR 31	Establish the relevant relationship and intention
In loco parentis → child	Advancement may apply	Grandfather/grandson: Wong San Mui; stepfather/stepson: Sze Ka Shuen
Mother → infant child	Advancement recognised by Suen Shu Tai v Tam Fung Tai (2015) 18 HKCFAR 491	Mother → adult child expressly left unresolved in the course account
Mother → child in older cases	Watson v Smith [1998] 3 HKC 461 contrasted with Lee Tso Fong v Kwok Wai Sun [2008] 4 HKLRD 270	Explain development rather than recite both as current universal rules
Wife → husband; female fiancé → male fiancé; siblings	No established counter-presumption in the materials	Mercier v Mercier; Yue Shiu Ngam v Zen She Lin; actual gift evidence remains possible

Lily Cheung v Commissioner of Estate Duty [1988] 1 HKLR 517: evidential weight of advancement may be weak. Kinship is not a substitute for examining declarations, funding, purpose and conduct.

4. Occupation and constructive notice

Inspection must be real rather than a ritual. Ask who lives there, their relationship to the owner, financial contributions and claimed rights. Clothes, belongings, a car or family presence may require inquiry even when the person is absent at the viewing.

- **Wong Chim Ying v Cheng Kam Wing [1991] 2 HKLR 253 (CA):** the husband's clothes put P on notice of his possible interest when the wife sold.
- **Kingsnorth Finance v Tizard [1986] 1 WLR 783:** absence at inspection did not defeat the wife's interest where circumstances required further inquiry.
- **China & South Seas Bank Ltd v Ma Koon Ah (HCMP 3000/94):** an occupying contributor of 90% of the price was not the registered owner; mortgagee had constructive notice.
- **Flying Mortgage Ltd v Chan Kuen Kwong [2010] 1 HKLRD 318:** mother purchased but title was in sons' names; the mortgagee was bound by her resulting-trust interest through notice.
- **William & Glyn's Bank v Boland [1981] AC 487:** the handout uses the wife's beneficial interest and occupation as the warning example. Its English registered-land context should not be silently equated with Hong Kong's deeds-registration system; use it to illuminate inquiry, alongside the local authorities.

Non-occupiers can also have interests. A disclosed nomination, trust deed, contribution arrangement or litigation can supply notice without physical occupation. Conversely, occupancy alone does not prove beneficial ownership: a tenant, licensee and contributing beneficiary have different rights.

Abbey National Building Society v Cann [1990] 2 WLR 832: purchase and acquisition mortgage may be one indivisible transaction where the loan enables acquisition. An occupier's contribution/occupation does not necessarily precede the acquisition mortgage in priority. Distinguish that situation from a later remortgage after the interest already exists; do not assume all lenders outrank occupiers.

5. Waiver, estoppel and effective release

Sum Fan Hung v Chum Mei Diu (HCA 946/2013): an equitable owner may expressly waive the interest. Obtain a properly framed confirmation/release or join that person as confirmor in the assignment if the interest exists. A statement about having “no objection to moving out” may not clearly release beneficial ownership.

Mo Ying v Brille Development Ltd [2015] 2 HKLRD 985 (CA): the wife remained after the husband sold and the family rented back. Her failure to speak when the sale occurred, and P’s reliance/prejudice, supported waiver/estoppel; leave to appeal was refused in FAMV 48/2015. The court also recognised constructive notice from occupation despite P not inspecting. The result depends on informed silence, duty to speak and reliance; mere elapsed time is not a universal forfeiture of a trust interest.

Practical response: obtain written occupancy and interest confirmations; if funding or a claim appears, investigate and obtain informed renunciation or a confirmatory assignment. Do not rely on V’s assurance that a spouse “has no rights” while avoiding inquiry of that spouse.

6. Trust breach and limitation

Faithway Enterprise Ltd v Lee Wan [2007] 4 HKC 55 (CA): the trust declaration promised transfer to children at majority; the trustee sold instead. The first-instance assumption that the children’s claim was probably time-barred was overturned. Notice of the breach exposed the later purchaser to constructive-trust consequences; the relevant no-limitation rule could apply.

The slides identify **s.20(1)(b) Limitation Ordinance** for recovery of trust property received by a trustee and converted to his own use. Work through the exact claim and defendant’s status; do not say all trust disputes have no limitation period. But equally, do not apply the mortgage/debt time limits to a beneficiary’s claim simply because decades have elapsed.

7. Gifts and nominations: analyse the same hidden interest once

A **nomination** occurs where the contracting/funding purchaser directs assignment into another name. The nominee may hold on resulting trust for the nominator. **Formking Development Ltd v Lee Kwok Hung Robert [1993] 1 HKC 412:** unresolved nomination trust can encumber a later sale.

The presumption can be rebutted: **Fulltrend Co Ltd v Longer Year Development Ltd [1990] 1 HKC 452** (the purchaser’s own affixing of the corporate assignee’s seal supported no trust on the facts); **Lion Will Investment Ltd v Triple Will Ltd [1992] 2 HKC 430** (husband’s nomination of wife; advancement); **Kan Wing Yee Wendy v Roh Julie Kim (HCMP 352/2017)** (gift intention established by a fellow solicitor’s statutory declaration after the original solicitor died).

A registered nomination may put a later P on notice of the nominator’s possible interest. Prefer an express renunciation of retained beneficial interests in the nomination itself. If that was omitted, investigate intention and secure a suitable release/confirmation from the actual interest holder.

A **gift** raises overlapping but separate issues: retained beneficial ownership; fraudulent conveyance under **s.60 CPO**; transaction at undervalue under **s.49(1) Bankruptcy Ordinance** within the relevant five-year setting; unfair preference under **s.50**; historical estate duty; and loss of statutory protections restricted to purchasers. **Osman Mohammed Arab v Lam Ying Lung Alan (HCA 653/2011)** is the course anchor. Do not assume every family gift is automatically invalid or that every gift creates a trust regardless of intention.

The slides mention assignments reciting market consideration without actual payment as a practice. Such a recital does not prove payment or immunise the transfer from beneficial-ownership, insolvency or fraud analysis. Analyse economic substance. The handout’s company unfair-preference reference is historical; verify the statute/version applicable to the dated facts.

8. Tenancies and licences

Unless the sale is expressly subject to tenancy, establish expiry or surrender of leases affecting the property. Qualifying short legal tenancies at rack rent, taking effect in possession, for no more than three years may bind P without registration. An agreement for a short tenancy can also bind through notice: **Hunt v Luck [1902] 1 Ch 428**. Inspect occupation rather than assuming silence in the register establishes vacant possession.

Ng Tim Yee v Kindbest Investment Ltd (HCMP 463/98) supports requiring a surrender agreement where a tenancy ended prematurely. **Ip Fai Man v Lui Kit Man (HCA 13661/98)** illustrates an occupier with no continuing right where eviction was a matter of conveyance. Distinguish title from actual delivery of vacant possession: even a right to evict does not itself prove the premises will be vacant by the contractual deadline.

A contractual licence may, on appropriate facts, be supported by a constructive trust: **Chen Tek Yee v Chan Moon Shing (CACV 136/2015)**. Do not equate every permission to occupy with a proprietary tenancy or trust; establish its terms and equitable basis.

9. Illegality in beneficial ownership claims

An improper purpose does not automatically mean the registered owner is beneficially entitled or that P faces no claim.

The older **Tinsley v Milligan** reliance rule asked whether the claimant needed to rely on illegality to prove the interest. Local authorities include **Yim Bo-Ying v Chung Iu-Warm [1985] HKLR 354 (CA)**; **Wong Sing v Wong Chun Wai (HCA 1872/2005)**; **Wu Wai Sum Stella v Man Ting Chu [2010] 5 HKLRD 125 (CA)**; **Cheuk Shu Yin v Yip So Wan (2012) 15 HKCFAR 344**.

Patel v Mirza [2016] UKSC 42 replaced that approach in the UK with consideration of (1) the purpose of the prohibition and whether denying relief advances it; (2) other relevant public policies; and (3) proportionality. **Kan Wai Chung v Hau Wun Fai [2016] 5 HKC 585 (CA)** followed the older rule without considering Patel and referred to the binding CFA decision **HKSAR v Lau Kam Ying (2013) 16 HKCFAR 595**. The course presents **Monat Investment Ltd v Lau Chi Kan Kenith [2023] HKCA 479** as accepting Patel's range-of-factors approach. In an exam explain the local development and hierarchy, not merely "UK law changed so Hong Kong changed".

Leung Ching Wai v Li Yun Lim [2023] HKDC 459: Green Form abuse raised public-policy objections to enforcing the asserted CICT; the course distinguishes the resulting-trust analysis. Identify the particular claim and policy; do not treat "illegal scheme" as an automatic answer to every alternative equitable route.

Locus poenitentiae: withdrawal before implementing an illegal purpose could historically permit evidence to rebut advancement: **Cheerbond Development Ltd v Tung Kwok Yu [2010] 2 HKLRD 546**. The handout says its continuing independent role after Monat is unclear. Present it as a historical/additional argument, not a settled exception superseding the newer policy assessment.

Page 06 · UBW, statutory orders and the purchaser's bargain

Sources: N ¶186–310; I ss.23–38.

1. Three questions must remain distinct

Ask **is it unauthorised?**, **does it materially affect this title?**, and **can removal leave P with substantially the contracted property?** A legal compliance problem is not automatically a repudiatory title defect; a removable defect is not automatically cured consistently with the bargain.

Buildings law, the Government lease, the DMC and proprietary boundaries may each apply independently. Approval under one regime does not automatically satisfy another.

2. Are these building works and are they authorised/exempt?

s.2(1) BO includes construction, site formation, specified ground investigation, foundations, repairs, demolition, alteration, additions, drainage and other building operations. **HKSAR v Gemsland Hotels Ltd [2017] 2 HKLRD 393**: affixing a signboard to an external wall was an addition and building work. **HKSAR v Poon Lok To Otto [2019] HKMagC 3** is cited for further factors, but the source gives a malformed paragraph range; do not invent a precise pinpoint.

s.14 BO: prior approval/consent requirements apply unless a relevant statutory exemption or alternative regime applies. **s.14AA** is the minor-works cross-reference in the handout; “minor” does not mean all regulatory requirements disappear. Ask what category, procedure and evidence apply to these works.

s.41(3) BO exemption in the course requires works both **in the building** and **non-structural**. **Mariner International Hotels Ltd v Atlas Ltd (2007) 10 HKCFAR 1**: rooftop plinths and gondola posts were not “in” the building; the purposive distinction between sheltered internal works and exposed rooftop works preserves BA safety scrutiny. They also involved the structure and were integral to it. Either failure defeated exemption.

Ronald Wilson v Appeal Tribunal (Buildings) [2013] 5 HKLRD 158: bay windows were not in the building for the exemption. **MTR Corp v Hwang Xiao Yun Sherry (LDBM 109/2002)**: a heavy concrete rooftop room involved structural/load-bearing concerns. “Does it bear weight?” is relevant, but do not reduce Mariner to that alone.

3. Subdivision needs factual detail

Changing internal partitions may seem non-structural, but self-contained units often require new kitchens, toilets, drainage and entrances. **Lucky Success (HK) Ltd v Ko Ni Kwong [2010] 1 HKC 351** and **Asia Way International Investments Ltd v Hung Kin Ping (DCCJ 3911/2011)** illustrate why the work as a whole can fall outside exemption. Request approved plans, drainage details and expert findings; “non-load-bearing partitions” may answer only part of the issue.

DMC terminology can be broader than BO terminology: **IO of Elite Garden v Profit More Co Ltd [2002] 2 HKLRD 518**. Yet **Tam Sze Man v IO Shan Tsui Court [2011] 5 HKLRD 434 (CA)** shows a prohibition need not extend to non-load-bearing internal partitions. Construe the actual DMC covenant instead of importing the BO exemption as a complete DMC defence.

4. No order yet: the ticking-bomb analysis

UBW can affect title before a formal order. Establish the legal enforcement route: demolition/remedial order, BA works if ignored, recovery of expenses, statutory charge/power of sale. Under the course's **ss.32A/33 BO** analysis, non-compliance can lead from a physical breach to loss of the property.

Spark Rich (China) Ltd v Valrose Ltd [2006] 2 HKC 589 (CA): can a prudent experienced solicitor safely advise P to disregard the risk? An opinion that enforcement is merely unlikely may not be enough. The course warns such safe-disregard cases may be rare.

Jumbo Gold Investment Ltd v Warren Yuen Cheong Leung (2000) 3 HKCFAR 52: an old Government-lease height breach, with the relevant history, did not produce a real enforcement risk on the facts. Use it for evidence-based risk assessment; it does not create a universal grandfathering rule for old UBW.

Link Harvest Ltd v Wayhang Development Ltd [2001] 2 HKC 652: longstanding building without an OP remained problematic. **Chinawell Management Ltd v Strong Huge Corp Ltd [2012] 1 HKLRD 79:** squatter extension raised real enforcement risk. **Luk Kwan Hung v Victory Mark Investment Ltd [2003] 3 HKLRD 919:** original construction with a roof too low in breach of regulations could also render title defeasible. The issue is not confined to alterations made by the current V.

BA priority guidance is not immunity: **Tsui Koon Tin v Building Authority (CACV 354/2002, 24 May 2006)** rejects treating low-risk guidance as a legitimate expectation that there will be no enforcement.

5. Existing orders and temporary withdrawal

Heung Sui Kei v Benefit Charter Ltd [1999] 3 HKC 543: a letter withholding enforcement “for the time being”, with future removal reserved, did not conclusively establish lawful works or completed compliance. **Modern Sino Ltd v Art Fair Co Ltd [1999] 3 HKLRD 847:** temporary withdrawal left remaining works illegal and potentially subject to future enforcement. Read the operative words, not simply the heading “withdrawal”. Prefer a genuine compliance letter, appropriately registered where necessary, backed by evidence of what was done.

Different instruments have different effects:

Instrument	Analysis
Resumption notice	Identify land affected, statutory consequence and ability to convey the contracted interest; not simply a repair-cost question
Demolition/closure/remedial order	Mandatory obligation, extent, default consequences and burden on the relevant owner
s.26 dangerous-building repair order	Is the required measure wholly exceptional beyond ordinary owner maintenance? All Ports
s.24C warning notice	Investigate prescribed consequences and existing UBW; registration is a warning, not the sole source of the underlying risk
Non-mandatory suggestion	No mandatory repair obligation may mean no title blot on the facts: <i>Polyset Ltd v Panhandat Ltd</i> (2002) 5 HKCFAR 234

All Ports Holdings Ltd v Grandfix Ltd [2001] 2 HKLRD 630 (CA) distinguishes wholly exceptional remedial measures from ordinary wear-and-tear burdens contemplated by Hong Kong owners. A large dangerous-building obligation may encumber title; not every routine repair notice justifies refusing completion.

Hu Mei Yu v King Best (HCA 9317/1998): liability can arise from the underlying slope order before later expense assessment quantifies it. Do not wait for a charge or final bill to recognise the potential burden. The handout and slides conflict over the sufficiency of the undertaking; Page 12 gives the

reconciliation method.

Wah Ying Properties v Sound Cash Ltd [1994] 1 HKC 786: earlier retaining-wall orders and BA costs remained relevant through subsequent sales; the later seller faced a purchaser demand and pursued its predecessor. Distinguish liability under the property's statutory burden from contractual recourse against an earlier seller. Resale does not itself discharge the order.

6. Which flats are affected?

Active Keen and **Hong Kong Central Hospital Ltd v Progressive Group Ltd [2008] 1 HKC 134:** works confined to other units need not impair the subject unit's title. In the latter, two other units had been combined; the longstanding discrepancy did not infect the flat being purchased.

Do not stop there if the works involve common areas, shared structural safety, a lease covenant binding the lot or collective costs. Common slopes/walls can affect every co-owner: **Lam Mee Hing v Chiang Shu Yin [1995] 3 HKC 247; Wah Ying**. Trace the actual order, expense apportionment and charge route. An architect's opinion must address location and collective effects, not just assert that the subject flat itself is untouched.

7. Government-lease linkage and DMC: double or multiple vulnerability

A lease covenant requiring compliance with building regulations can convert BO non-compliance into a Government right of re-entry: **Giant River Ltd v Asie Marketing Ltd [1990] 1 HKLR 297** (extra underground floors). Separately, DMC prohibitions may permit IO/manager enforcement and cost recovery. An absence of BA action does not answer an independent Government or DMC claim. This is why comprehensive requisitions request the lease, DMC, OP, approved plans and enforcement history together.

8. Can demolition cure the problem before completion?

V normally has until completion to give good title. Removing the offending work may suffice **only if** the remaining property is substantially what P contracted to receive. Evaluate area lost, functional use, value, access, resale prospects and contractual wording.

Removal would materially change the bargain	Removal could leave substantial performance
Max Smart v First Super [1999] 1 HKLRD 519: substantial cockloft, sale as is	Homyip [1995] 2 HKC 458: removal of staircase did not substantially deprive the bargain
Sun Great v Hui Lai Ying Polly (HCA 10742/1994): substantial additions	Summit Link v Sunlink Group [2000] 2 HKLRD 724 (CA): accepted substantial performance on facts
Grandco v Harbour Wealth (HCA 3388/1998): flattened garden restored to slope	Goldful Way v Wellstable [1998] 4 HKC 679: small reduction from yard enclosure removal, otherwise immaterial
Cashew v Pacific Success [2004] 2 HKC 594: pump-room enclosure used as bedroom; assess size/value/saleability	No fixed percentage rule: practical significance can outweigh area alone

Join Union Investments v China Tree [2016] 2 HKLRD 901: the court treated the cockloft defect as not going to the root of title in the particular old-shop context and existing order/access circumstances. The slides say it was still a title defect. Use it as a fact-specific discussion of seriousness and repudiation, not a rule that widespread UBW are legal or every cockloft is minor.

"As is" ordinarily concerns physical condition; it does not automatically waive good title or immunise UBW: **All Ports; Cashew**. In **Max Smart**, the substantial physical bargain still mattered. Analyse the actual wording and extent of loss rather than treating "as is" as either universal vendor immunity or an absolute ban on all remedial work.

9. Purchaser conduct and demolition approvals

Victory Star Ltd v Ng Fung Ying [2004] 2 HKLRD 518 (CA): removal affected nearly 38% of area, giving force to the substantial-performance objection, but P's silence after a communicated demolition proposal raised an arguable estoppel defence. Do not present it as a universal duty to object to every repair: identify knowledge, expectation, reliance and prejudice.

Chan Choi Fung v Huge Base Investment Ltd [2010] 2 HKLRD 316 (CA): P reported the suspected UBW to BA and could not then complain of V's resulting demolition on the facts. P's own conduct can affect available objections, but does not generally make every lawful contractual right disappear.

Re Profit Success Development Ltd (CACV 87/2014, 22 December 2014): a s.24 order is not blanket exemption from s.14 plan approval. The order may normally supply consent to commencement for works within its scope, but plans still require approval where the statutory requirements apply and no approved plans cover them. Ask whether V can lawfully complete the demolition in time, not merely whether a contractor can physically remove it.

Criminal routes: s.40(1AA) concerns knowingly commencing/carrying out works without approval; s.40(1BA) concerns failure to comply with an order. Identify offences separately from title, enforcement risk and substantial performance.

Page 07 · Building-wide liabilities, IO litigation and fire safety

Sources: N ¶1313–331, 483–485, 851–863; I ss.39–40; II ss.9, 36–42.

1. A building liability can bind a unit purchaser

Read the BMO, DMC and S&P together. A financial burden can affect title before a charge is registered, because the current owner may become liable and face enforcement. Ask when liability arose, who can recover it, against whom, how it is apportioned, and whether the amount is beyond reasonable purchaser contemplation.

AIE Co Ltd v Kay Kam Yu [1996] 1 HKC 239 (CA): a memorandum of outstanding management fees was an encumbrance. **Wise Wave Investments Ltd v TKF Services Ltd [2007] 4 HKLRD 762** is an additional handout reference. Distinguish ordinary manageable charges dealt with on completion from substantial abnormal liabilities or charges.

Luk Ho Chang v Fook Man Finance Co Ltd [2006] 2 HKLRD 489: the IO had resolved before the S&P to replace lifts and carry out major repairs. Under **s.14(1) BMO**, the resolution bound owners; the S&P also allocated pre-agreement resolved repair costs to V. Tendering and later expenditure did not shift the origin of the liability beyond the agreed cut-off. Outstanding obligations recoverable from the owner from time to time could encumber P's title.

The handout's general cure discussion characterises stakeholding as an acceptable solution in this repair setting; its detailed facts describe P proposing retention and V refusing it. Use the case first for the accrual/cut-off/burden principle, and do not invent agreement to a retention on those facts.

2. DMC breaches beyond fees

Lo Chi Wai Arthur v Liu Wing Cheung Wilfred (HCA 11459/1982) and **Dragon Top Investments Ltd v Able HK Holdings Ltd (DCCJ 824/2013)** concern separate car-park sales contrary to a DMC restriction. A parking-space seller must establish the right to sell separately; transferability is part of title, not simply physical identification.

Modern Sino also connects UBW with DMC breach. A claim can arise through injunction, cost recovery or a DMC charge independently of BA action. Interpret the provision and identify a real significant enforcement route; not every technical covenant breach automatically defeats title.

3. Personal litigation against V versus litigation against the IO

An ordinary personal claim against V does not currently affect land merely because a creditor might later obtain judgment and a charging order. That differs from IO litigation because **s.17(1)(b) BMO** permits a judgment creditor, with Lands Tribunal leave, to enforce against co-owners under the statutory route.

Lucky Health International Enterprise Ltd / Chi Kit Co Ltd [2000] 2 HKLRD 503; (2000) 3 HKCFAR 268 (CFA): the scaffolding/personal-injury case involved exceptional multimillion-dollar liability. The slides describe a \$25.7m judgment plus costs and a \$33m retention/bank guarantee proposal; the handout also describes the action's commencement and potential exposure. The decisive teaching point is an extraordinary liability capable of affecting a later owner, outside the reasonable bargain. P need not be compelled to "purchase a litigation" merely because substantial money is offered.

Do not assume P's risk equals one flat's simple fractional share of the damages. Read the statutory enforcement route, proposed security and any right of contribution. Identifying a final apportionment is part of investigation, not a premise to invent.

4. Pending claims and costs can suffice

Gigabillion Asia Pacific Ltd v Sino Dynamic International Ltd (different report citations appear in the uploads): three IO proceedings exposed owners to actual/potential costs even without a damages prayer. The possible routes were a DMC charge, execution against owners, and contribution if the IO became insolvent. No reliable magnitude was supplied; \$25,000 plus an unsecured indemnity could not be evaluated as adequate. Consider the litigations as a whole rather than dismissing each as “only costs”.

Kan Yui Man Allen v Ng Hiu Nam (DCMP 174/2011): a reply saying P bought subject to litigation failed to provide particulars, stage and amount needed to assess risk. **Lo Yee Man v Si Chuan Property Development Consultants Ltd (DCMP 478/2014)**: a late \$50,000 retention offer without disclosure of a personal-injury claim’s magnitude did not eliminate the risk; V failed to show title and wrongly repudiated.

A pending claim need not have reached judgment to matter. But an unsupported assertion that litigation exists is not enough for a full answer either: ascertain prospects, amount, costs, stage, insurance, enforcement and available resources. The vendor bears the title-proof burden; P need not guess the financial exposure from missing information.

5. Requisitions that permit risk assessment

Request claim pleadings, relief, current procedural stage, judgments/orders, estimated exposure including costs/interest, insurance and coverage exclusions, IO assets, enforcement routes, unit allocation and proposed discharge/security. Ask whether other related proceedings exist. A vendor’s exclusion clause must actually allocate the identified risk; generic “subject to DMC” wording should not automatically be treated as accepting undisclosed extraordinary litigation.

For the seller, candour in replying and properly drafted pre-contract disclosure can avoid the separate failure-to-show-title problem. For the buyer, inquire with the IO/manager about resolutions and litigation as well as reading the land search.

6. Fire safety: identify the instrument and statutory powers

Ip Fong Keng v Fong Yu Shing (HCMP 843/2017, 3 July 2019) distinguished a fire-safety direction from a s.24 BO order; the direction did not constitute the same blot on the facts. **E-Global Ltd v Trenda Ltd [2013] 5 HKC 192** and **Sky Globe Holding Ltd v Hung Lee Estates [2023] 4 HKLRD 413** are the course comparison cases.

The key question is whether the relevant statute lets the authority perform works after default and recover expenses by charge against the land, or pursue civil liability that burdens co-owners. The handout expressly identifies **ss.19U and 19V Fire Safety (Buildings) Ordinance (Cap 572)** in relation to fire safety improvement works. This prevents a categorical conclusion that all fire-safety directions are harmless; older case reasoning must be placed against the legislative version and instrument applicable to the exam facts.

If the work affects common areas, analyse collective liability and enforceable apportionment. If a finite contribution can be secured sensibly, a post-completion arrangement may be acceptable; if the route is merely criminal punishment without the asserted land liability, explain why that is different. Do not assume the answer from the words “fire safety” alone.

Page 08 · Government lease, user, boundaries, easements and special transactions

Sources: N ¶135–139, 360–367, 449–480, 495–497, 833–845; I s.29; II ss.4, 8.

1. Independent Government-lease compliance

Breach may confer a right of re-entry, making title defeasible. Examine Government rent, development/height/user restrictions, conditions and consent/waiver evidence.

New Jade Enterprises Ltd v Jing Ying She Ltd (HCA 13764/97, 22 September 2000): a small unpaid rent amount did not produce a real re-entry risk on the facts. This is not a rule that rent never matters; assess payment/cure, amount and actual enforcement.

Lee To Ming v Tam Kim Sum William [1999] 2 HKC 865: an OP for five storeys did not waive a Government-lease maximum of four. BA approval concerns its own statutory function, not automatically Government consent as lessor. Combine with **Giant River** for a lease linkage to building-regulation compliance and **Jumbo Gold** for evidence-based no-real-risk analysis.

2. Occupation permit and material change of user

Compare the OP, approved plans, assignment/DMC and actual use. **Wong Wai Yip v Ho Wai Fung (DCMP 2221/2015, 27 January 2017):** an additional shop E1 occupied lobby space absent from the OP/first assignment plan. This raised UBW and title issues; an address or shop label does not prove lawful creation or ownership of the space.

s.25 BO: intended material change of user requires notice to BA; BA may object and make the relevant order. Under the course description, materiality relates to whether a building for that use would contravene BO requirements or approval could have been refused under **s.16(1)(g)**.

Worldfull Investments Ltd v Young King Asia Ltd [1996] 4 HKC 238 (garage converted into shops) and **Even Growth Investment Ltd v Shing Yip Investment Co Ltd (HCMP 2369/1996)** (cocklofts used as restaurant) support title concern. **Summit Investment Ltd v Shia Ning Enterprise Ltd [1999] 2 HKLRD 798** found no material change on its non-structural facts. Treat this as fact-specific, not an absolute rule that structural alteration is always required for materiality.

Chan Sing Hoi Enterprises Ltd v Vykon Media Technology Ltd (CACV 324/2007, 4 July 2008): s.25 does not itself make the changed use or absence of notice an offence; failure to comply with the subsequent order is distinct. Separate criminal unlawfulness, BA regulatory risk, Government-lease/DMC restrictions and title. A successful s.25 argument does not automatically answer a lease prohibition on shop use.

3. Property identity, shares and encroachment

A multi-storey interest usually involves identified undivided shares plus exclusive-use rights under the DMC. Verify both. A convincing physical viewing cannot cure an assignment of the wrong number of shares or a plan granting a different space.

Tam Mo Yin v Attorney-General [1996] 1 HKC 379: lost plan and acreage-only description raised boundary ascertainment issues. Ask whether admissible descriptions, survey and documents can establish the actual contracted parcel.

Lee Tak Chun v East Weal International Ltd [1994] 1 HKC 722: need for the sub-DMC/allocation evidence. **Marking Ltd v Cheerifat Investment Ltd (HCMP 2727/1995)**, **Goldjet International Investment Ltd v Ling Ki Wai [1997] 3 HKC 503**, and **Hinex Universal Design Consultants Co Ltd v Chan Lai Hing [1998] 1 HKC 317** illustrate control cards/share-apportionment and registry evidence sufficing on particular facts. **Sheenip Industries Ltd v Champion Billion Development Ltd (HCMP 1390/1995):** V need not prove how every other share was allocated merely to prove the subject interest.

Fan Tony v IO of Kung Lok Building [2006] 3 HKC 240: the parking space had been moved and a guard post built at its correct DMC-plan location; reinstatement was ordered. Distinguish “this is where everyone parks” from the rights actually conveyed.

Encroachment invokes the true owner’s rights independently of building approval:

- **Chan Hong Chung v Mak Kiu (HCMP 1961/1995):** balcony over public street raised Government-land concern.
- **Gold Glory International (Hong Kong) Ltd v KW Wong Investment Co Ltd (HCMP 1618/2012):** Government permission changed the analysis on the facts.
- **Profit World Trading Ltd v Ho So Yung [2011] 2 HKLRD 773 (CA):** car-port area converted to sitting room raised private-property encroachment.
- **Widely Success (HK) Ltd v Hollywood Land Ltd (DCCJ 5851/2008):** entrances extended into common corridors.

Request a survey/plans, the proprietary right to occupy the added space, consent terms and any release/reinstatement proposal. Demolishing an encroachment can resolve ownership risk but still fail substantial performance if the advertised usable area disappears.

4. Easements and abandonment

A right of way over the land makes it the servient tenement and is a burden unless accepted in the bargain. **Ho Ching Group Ltd v Tsang Pui Lin [2014] 2 HKLRD 249 (CA)** accepted abandonment of an internal staircase right to a cockloft on the facts. Mere non-use is not automatically abandonment: identify conduct and evidence supporting relinquishment of the right. Obtain a release or persuasive abandonment evidence; distinguish the absence of enforcement from actual cessation of the easement.

5. Fraud, undervalue and conflicted sales

ss.60-61 CPO: examine dispositions intended to defraud creditors and relevant protections under the legislation. **Tradepower (Holdings) Ltd (in liquidation) v Tradepower (Hong Kong) Ltd (2009) 12 HKCFAR 417:** an unsupported disposition made while insolvent, or causing insolvency, exposing creditors including future creditors to significant non-recovery risk will ordinarily support an inference of the requisite intent. Analyse objective circumstances, not solely an admission of bad motive.

Erwiana Sulistyaningsih v Tsui Yun Bun Barry and Law Wan Tung [2018] 1 HKLRD 505: nil-consideration transfers following criminal proceedings raised future-creditor fraud concerns. **Chan Sze Wing v Congruence Chinese Medicine & Jing Luo Health Ltd [2020] HKCFI 2596** is an additional course authority.

Distinguish fraudulent conveyance, bankruptcy undervalue and unfair preference: they have different conditions, time windows and remedies. A gift may engage all; one cannot substitute proof of family relationship for all statutory requirements.

Other conflict triggers: **Chiu Che Kuen v Or Yue Ling (HCA 5543/1990)** (solicitor’s clerk purchase) and **Tang Ying Ki v Maxtime Transportation Ltd [1996] 3 HKC 257** (mortgagee sale to himself). Ask whose fiduciary duty was breached, whether the transaction is voidable, what P knows and what genuine

cure is available. Assignment as security for an illegal Money Lenders Ordinance loan can also compromise title; connect to the validity of a security POA (Page 10).

6. Companies, dissolution and special consents

Stanford House Publication (HK) Ltd v Win Capital Industries Ltd [2006] 3 HKC 534: the handout's liquidator execution discussion ordinarily refers to the company's seal/articles, but this case accepted the liquidator's own seal. Do not apply ordinary director-signature rules to a liquidator without checking the office holder's powers and mode.

Dissolution can leave property vested as bona vacantia and may require the Secretary for Justice in corrective proceedings. Winding-up alone is not a cure; establish where the estate now vests (Page 11).

Home Ownership Scheme: check restrictions/necessary consent: **Chan Chi Hung v Tse Ying Piu (HCMP 3630/1994)**. Separate approval for alienation from beneficial-interest disputes arising out of an improper nominee arrangement.

Corporate name change: Tsang Bing Kwan Andes v Korea Marvel Co Ltd [1997] 3 HKC 565: a Korean-language legal opinion did not adequately prove the foreign company's change of name; obtain intelligible official evidence establishing continuity of identity. Name change does not itself mean a different corporate owner, but V must prove that continuity.

Sale of a holding company: distinguish a share sale from a direct conveyance of land. Contractual due-diligence obligations govern the accounts/information required. **Castle Global v Ip (HCMP 645/2019, 15 June 2020)**: failure to provide agreed accounts before completion did not give V a free right to defer whenever P was "unsatisfied". **Dragon Access Holdings v Lo Chu Hung (HCMP 1355/2019)** and **Wang Sheng v Sin Yuk Ling (DCMP 760/2020)** are additional references without detailed source holdings. Analyse the express due-diligence clause, deadlines and consequences; do not invent a land-title duty to deliver every corporate record where the share-sale contract determines scope.

Page 09 · Due execution: natural persons, companies and foreign corporations

Sources: N ¶500–708; II ss.10–28.

1. Use this decision order

Identify (1) the document's legal function and whether a deed is required; (2) the executing person/entity and capacity; (3) the execution date; (4) the applicable formalities; (5) available statutory presumptions; (6) contrary evidence; and (7) the cure. Distinguish a current assignment, which must validly convey now, from an old title document protected by a historical proof-of-title presumption.

A contract signed under hand is not automatically a deed. A valid S&P may transfer equitable interests without a valid assignment transferring the legal estate. That distinction explains why a defective assignment can leave an enforceable equitable entitlement suitable for a vesting order.

2. Natural persons: signature, sealing and delivery

The course states the deed requirements as signed, sealed and delivered. **s.19(2) CPO** deems the individual's deed sealed; do not requisition merely because no physical wax or wafer seal appears.

Delivery requires an intention to be bound as a deed; not literal handing over. **Bibby Financial Services Ltd v Magson [2011] EWHC 2495**: mere signature or physical possession by the beneficiary does not necessarily establish the maker's intention. Consider conditional delivery or **escrow**: a document can be held pending satisfaction of an agreed condition rather than immediately taking effect.

Champhon Industrial Ltd v Hight Projects Industrial Ltd (HCMP 3631/1992): solicitor attestation is good practice, not a universal legal requirement for an individual's conveyance. The handout describes clerk witnessing with solicitor verification where solicitor presence is impracticable. **Practice Direction A9** restricts attestation by a solicitor of other parties whom that solicitor does not represent. Distinguish this professional-practice question from a corporation's required attesting/signing officers.

3. Corporate execution: the date determines the regime

Execution date/method	Core requirement	Helpful proof provision
Before 3 March 2014	Common seal and authorised execution under articles	CPO ss.20(1), 23, 23A, as applicable
On/after 3 March 2014, common-seal route	Optional seal, properly used under articles	CPO presumptions still relevant
On/after 3 March 2014, statutory signature route	s.127 signature requirements; s.128 deed expression and delivery	CO s.127(6)–(7); s.128(2) delivery presumption

The **former Companies Ordinance was Cap 32**; the **CPO is Cap 219**. N ¶525 accidentally calls the CPO Cap 32. Keep the two statutes separate.

4. Old common-seal formalities

Former **s.93(1) CO** required a metallic common seal with the company name engraved legibly. **On Hong Trading Co Ltd v Bank of Communications (HCMP 3099/1999)**: rubber chop did not suffice for the intended mortgage; the bank acquired no valid legal mortgage/power to sell. **Wang Zhidun v Tsoi Ming Pui [2011] 3 HKC 314**: illegible corporate seal raised invalidity/proof concerns.

Li Kwan Chuen v Vector Development Ltd [2009] 3 HKLRD 511: director's own seal in place of company's common seal did not transfer the legal estate; confirmatory assignment required. **Au Wai**

Ming v Kam Tze Ming Alfred [2010] 1 HKLRD 198 (CA): a release intended to be executed in two capacities had only one seal beside one execution clause. The intended separate execution in the other capacity had not been effected. Inspect every releasor/capacity; one valid signature block does not necessarily release all interests.

Not every imperfection is fatal. **Good Lion Ltd v Chung Sai Wing [2009] 2 HKLRD 25:** mis-spelling of the company name could be immaterial where identity and intention to execute were established. **Man Kwok Lam v Keung Yeuk Chun (HCMP 4067/1997):** seal on the immediately following receipt clause was part of the assignment and showed the intention to execute the deed. Distinguish wrong entity/no company seal from a harmless location or identification imperfection.

5. Articles, Table A and “two directors” shorthand

Under former s.11 CO, Table A generally applied absent exclusion/modification. Article 114 required a director plus the secretary, another director or another person appointed by the board. This is often called the “two director rule”, but not literally restricted to two directors. Current transitional provisions preserve applicable Table A articles for existing companies; model articles are governed separately.

The common law did not itself universally demand attesting signatures once the seal was duly affixed: **Agar v Athenaeum Life Assurance Society**, cited in **Peking Fur Store Ltd v Bank of Communications [1993] 1 HKC 625** and **Grand Trade Development Ltd v Bonance International Ltd [2000] 4 HKC 57**. Nonetheless, applicable statutory/articles-based authority must be proved. Do not confuse a common-law baseline with permission to ignore a company’s constitution.

6. CPO s.20(1): a specific deeming route

In favour of a person dealing with the corporation in good faith, a deed purporting to bear its seal affixed in the presence of and attested by **a director plus secretary/other permanent officer, or two directors**, is deemed duly executed. Establish the stated capacities and statutory conditions. An unspecified “authorised person” is not automatically a permanent officer.

Kan Yui Man Allen v Ng Hiu Nam (DCMP 174/2011): two signatures on a sealed bank POA did not necessarily satisfy the specified capacities; relevant articles and evidence were required. Merely counting signatures is insufficient.

7. CPO s.23: appearance of due execution

An instrument **appearing to be duly executed** is presumed duly executed until the contrary is proved. **Leung Kwai Lin Cindy v Wu Wing Kuen [2001] 1 HKLRD 212 (CFA):** this is remedial and should be approached broadly with all circumstances in view.

Failing s.20(1) does **not invariably** make s.23 unavailable. Ask whether the articles and execution clause otherwise produce the appearance of validity:

- **Tread East Ltd v Hillier Development Ltd (HCA 907/1991):** articles permitted the board to choose another method; a single director signed with express board-authorisation wording. The appearance supported s.23 without production of the actual resolution on those facts.
- **Lee Chat v China Roll Industries Ltd [1998] 1 HKC 269** is a related course example of the execution wording/constitutional inquiry.
- **Li Ying Ching v Air-Sprung (Hong Kong) Ltd [1996] 4 HKC 418:** an ordinary director signature did not show compliance with articles requiring the chairman or two directors.
- **Wong Yuet Wah Mandy v Lam Tsam Yee [1999] 3 HKC 268:** one signature, articles requiring two or a board-determined alternative, and no adequate authorisation proof left the problem unresolved.

• **Au Hon Kwong v Sure Woollen Yarns Co Ltd (HCMP 3979/1992)**: articles required half of a four-director board; only one signed the mortgage. A sale based on that mortgage exposed the derivative-title problem.

• **Whole Year Development Ltd v Lung Chiu Yee Julia (HCMP 966/1993)**: signatories were not the required officers, and the legal estate had not been conveyed.

If appearance is missing, request the relevant-date articles, officers' status, actual board resolution and execution evidence; apply the missing-document rule if the resolution is lost. A declaration saying "it must have been authorised" is not automatically equivalent to evidence of an actual authorisation.

8. CPO s.23A: do the arithmetic before old execution law

Commencement: 9 May 2003. s.23A(3) limits operation to land-sale contracts entered into **on or after** commencement. The handout sometimes says "after"; the statutory excerpt includes "on or after". **Silver Pioneer International Ltd v Good Onwards Co Ltd [2004] 4 HKC 253**: an April 2003 sale contract could not claim the later provision, nor compel the buyer to rely on its protection in a hypothetical future sale.

s.23A(2): where a produced deed purports to have been executed by a corporation **not less than fifteen years before the current contract**, valid execution is conclusively presumed for the specified title purposes between the contracting parties and in favour of P against others. "Not less than" includes the exact fifteenth anniversary. This is a moving threshold tied to the contract date, not a permanently fixed year.

Example: S&P on 2 October 2026; a qualifying corporate deed of 2 October 2011 or earlier meets the age limb, whereas 3 October 2011 does not. Actual applicability still requires the other statutory conditions. A 2015 deed is too young. Do not confuse the 2014 execution-regime change with the 15-year evidential protection.

s.23A(1): for a deed executed **before 9 May 2003**, signatories who **could have been authorised** under the relevant articles/instruments are rebuttably presumed authorised even if the source of authority is not apparent in the deed. Produce the relevant-date articles to show that possibility: **Schneider Wong Fung Yin v Peter Ngai (DCCJ 2904/2005)**. It does not assist where articles require a fixed number of officers and fewer signed without any permissible alternative.

For an ordinary 2026 contract, any pre-May-2003 deed is already over fifteen years old, so s.23A(2) is normally the first age-based question. s.23A(1) remains useful for historical exam dates; it is not repealed simply because its practical contemporary role is reduced. A post-May-2003 corporate deed **less than fifteen years old** can still exist in 2026 and receives no s.23A(1) protection. The slides' "impossible now" parenthesis is misleading if read otherwise.

The conclusive protection does not erase every separate underlying wrong or accrued claim against V/predecessors. First identify exactly what is being presumed: **execution**, not automatically absence of fraud, proper beneficial ownership, a discharged mortgage or valid disposal of every promised share.

9. Ratification, challenge risk and missing estate

Peking Fur Store: board ratification can show no real risk of a company setting aside an earlier transaction; distinguish that from an instrument conveying an estate never passed. **Ring View Ltd v Modern Thorns Co Ltd (HCA 3626/1996)**: a current-sale resolution cannot necessarily force P to accept present execution violating the articles.

Goldenfix Properties Ltd v Cheer Hope Investments Ltd [1993] 1 HKC 360: lost resolutions require proper secondary evidence. **Hui Yuk Chun v Tang Wai Hang Henry (HCMP 1/1998)** and **Chung Ka Leung v Secretary for Justice (HCMP 4129/1999)** are no-real-risk/dissolution examples. **Polyson Jewellery Co Ltd v Liu Song Carlos [2002] 2 HKC 183 (CA)**: twenty years without

challenge and a bare assertion were insufficient; full surrounding circumstances mattered.

Read alongside the handout's stricter Part F position: where execution is void and no statutory presumption helps, a missing legal estate calls for a confirmatory assignment/vesting order. **Hua Rong Finance Ltd v Mega Capital Enterprises Ltd [2001] 3 HKLRD 623** illustrates fraud rendering the mortgage void. Do not claim that any dissolved company, silence or ratification automatically fixes every void conveyance.

10. Current CO: statutory signature route and optional seals

Under **s.124 CO**, a company **may** have a common seal; it no longer must. If it has one, statutory metallic/legibility requirements apply, and breaches of those requirements may be offences. The slides accidentally suggest that simply not having a seal is criminal; that contradicts the optional-seal rule.

s.125(2) deals with an official seal for use abroad: the prescribed replica and location inscription requirements must be considered.

Under **s.127(3)**, a document may be signed:

- by the sole director, if the company has only one director;
- by two directors, or a director plus company secretary, if it has two or more directors.

A company with several directors does not acquire the sole-director shortcut because only one happens to sign. **s.127(4)**: a person signing for two or more companies signs separately in each capacity. Under **s.127(5)**, compliant execution has the seal-equivalent effect. **s.127(6)-(7)** protects a good-faith purchaser for valuable consideration where the document purports to comply. **s.127(8)** addresses company execution in another person's name.

For a **deed**, **s.128(1)** additionally requires that it be expressed as executed as a deed and delivered as such. **s.128(2)** presumes delivery on compliant execution unless contrary evidence appears; **s.128(3)** addresses inconsistency with other legislation. Signature counts alone are therefore not a complete deed analysis.

Williams v Redcard Ltd [2011] EWCA Civ 466 (English analogue): express "on behalf of" words under every signature are not indispensable if the document as a whole makes representative execution clear. It does not excuse unclear identity/capacity or noncompliance with the required signatories.

If the company chooses the **common-seal route**, analyse articles and the CPO presumptions; do not automatically apply the under-hand presumption to cure a failed seal execution.

11. Foreign corporations and foreign-law evidence

The course starts from Hong Kong formal-validity requirements: **Adams v Clutterbuck (1883) 10 QBD 403**. Its presumptions can apply to a "corporation aggregate" including a foreign corporation: **Excelling Profits Investments Ltd v Sera Ltd [1992] 2 HKC 262 (CA)**, concerning Bermuda/Jersey POAs.

If the asserted foreign-law execution method differs, produce a suitably qualified expert opinion answering **both authority and manner of execution**, with intelligible supporting law and constitutional material. **Wang Zhidun**: assertions that a PRC rubber chop sufficed were unsupported; an opinion merely saying an officer could sign/apply a stamp did not explain why that form validly executed the deed. PRC company law was not simply judicially noticed. The course uses a presumption of foreign-law similarity in the absence of adequate proof, also citing **Caspian Resources Development Pte Ltd v Fortune Oil Plc [2015] 5 HKLRD 836**.

The handout and II s.21 disagree in their account of the Chase Eagle case ([2013] 1 HKLRD 933), including the claimant's name and adequacy of Mainland evidence. Use the stable proposition: constitution, signatory authority and foreign execution validity must be established; do not quote either

conflicting holding unqualified.

The handout says the post-2014 CO provisions apply to foreign-company deeds. That broad statement requires statutory scope/conflict-of-laws verification in any live case; foreign companies should not simply be assumed to be Hong Kong-incorporated companies for every CO section. For course exams, state the course approach while flagging corporate type, place, date and applicable law. For foreign corporate POAs, the specific **s.26(1) LARCO** route is on Page 10.

Page 10 · Powers of attorney: execution, powers and revocation

Sources: N ¶1711–792; II ss.29–35.

1. A POA requires three distinct inquiries

Was the **power itself validly executed**? Did it **authorise the particular act**? Was it **still operative**, or is the third party protected despite revocation? Separately ask whether the deed made by the attorney was executed correctly. Good authority does not cure bad deed execution, and a well-signed assignment does not create authority absent from the POA.

2. Form and foreign corporate powers

s.2(1) POAO: an instrument creating a power must be signed and sealed by the donor, or by direction and in the donor's presence. Corporate donors require the appropriate corporate execution analysis.

s.26(1) Law Amendment and Reform (Consolidation) Ordinance (LARCO) provides a specific route where a foreign corporation's unsealed power is valid under the law of its incorporation: the lack of seal does not invalidate an instrument under seal executed on its behalf pursuant to the valid power. Prove the foreign-law validity; do not treat the exception as self-proving.

Li Yuen Ling v Tang Kwok Wai Thomas [2010] 1 HKC 550: a Dutch bank's unsealed power was used to release a mortgage; missing foreign-law evidence left the execution problem unresolved. s.23 CPO did not help because the power did not appear duly executed under the assumed requirements. The release was ineffective on the course account.

An attorney may execute in his own name or the donor's name. Identify the donor, representative capacity and authority clearly; the relevant deed formalities remain necessary.

3. Fifteen-year rules: age of the deed, not simply the power

s.13(1)(c) CPO: the production requirement concerns POAs under which relevant instruments have been executed within the statutory period. **s.13(4A)** provides conclusive presumptions for documents executed by attorney **not less than fifteen years before the current S&P**, concerning the power's valid execution, force at the time and authorisation of execution.

These are separate from corporate **s.23A**. Calculate the attorney-executed document's date against the current contract. A POA signed twenty years ago but used for an assignment last year is not automatically exempt from production merely because the power itself is old.

Lo Hung Biu v Lo Shea Chung [1997] 2 HKC 723 (CA): the materials warn that a purchaser's own search revealing a gift/self-dealing or vires problem cannot necessarily be brushed aside with the age rule. The handout states that the s.13(4A) presumptions do not extend to the particular vires issue. Thus distinguish presumed formal authority to execute from power to undertake an impugned gift/self-benefiting disposition; Page 14 flags the apparent tension in the course formulations.

For more recent documents, produce the POA and prove validity, scope and operation. **Big Boss Investment Ltd v So Lai Kei [2010] 1 HKLRD 793**: V must produce the power for the present assignment too. **Lau Kwok Cheong Dinnes v Tse Ming Chiu [2001] 3 HKC 196** distinguishes execution on the purchaser's side in the course production rule. Do not requisition every buyer-side authority as though it necessarily involved disposal of the previous owner's title.

Yeung Dallah Rudia v Copiluck Ltd [1992] 2 HKC 575: secondary evidence of a missing power may suffice under the Re Halifax rule; the declarations from V and the preparing solicitor explained loss and

diligent searches. Missing POA is not automatically fatal, but bare recollection is not enough (Page 11).

4. General powers versus special powers

A statutory general power in the scheduled form authorises what can lawfully be done by an attorney.

Standard Chartered Bank v Tang Chun (HCMP 3289/98, 16 September 1999): broad mortgage authority could bind the donor in favour of a good-faith bank, even securing others' loans on the facts.

Do not inadvertently narrow a statutory general power by added restrictions: **Multi-More Industries Ltd v Tung Hoo Fai [1991] 2 HKC 261** ("deal with my properties"); **Chan Fei v Li Yee Wah [1995] 2 HKC 806** (irrevocable wording in the particular instrument). **Standard Chartered Bank v Shem Yin Fun (HCMP 3289/1998)** accepted "We" rather than "I". Labels and trivial textual changes are not the whole analysis; construe the instrument and applicable statutory form.

A **special power** must cover the actual transaction. **Wong Shui Yun Bernadette v Lau Wai Pui [1987] 3 HKC 513:** power to sell implied authority to execute the assignment. **Chan Pak Ho v Standard Chartered Asia Ltd [1988] 1 HKLR 216:** no authority in the French power to reassign the mortgage. Power to sell is not necessarily power to give, prefer oneself, release security or gift to a third party.

5. Self-dealing and ambiguous powers

Overseas Trust Bank v Tang Che Ching [1994] 2 HKLR 73 (security for attorney's own loan); **Li Ming On v Lucky Apple [1994] 2 HKLR 111; Very Cheer v Bring All [1994] 1 HKC 796** (undervalue); **Lo Hung Biu** (gift); **Yook Lu Fong v Lam Po Ching [2002] 2 HKLRD 395** (sale to attorney as trustee for someone aware of his duties) illustrate fiduciary/vires risk. The course describes this self-dealing class as **voidable rather than automatically void**: **Lo Tai Yam v Hu Mu Simon [1997] HKLRD 588**. Distinguish it from an inherently invalid power, such as an illegal security arrangement: **Wong Kwai Fun v Li Fung (HCA 5810/1986)**.

Ip Fung Yee v Norwegian Missionary Society [1998] 1 HKLRD 94: wide language and listed specific powers created ambiguity; bona fide reasonable interpretation may bind the donor. **Weigall & Co v Runciman & Co** is the cited interpretation authority. If the attorney's act falls within neither possible interpretation, ambiguity cannot save it. The donor's willingness to execute a confirmatory assignment and express affirmation strongly supported no real avoidance risk. Do not expand this into a general gift power in every ambiguous POA.

6. Revocation and irrevocability

Ordinary powers can end through express revocation, death, bankruptcy or incapacity under the applicable rules. V must establish operation at the material transaction or the statutory protection on which the title depends.

s.4 POAO: an irrevocable power securing a proprietary interest can remain effective despite specified events while the statutory conditions are satisfied. The word "irrevocable" alone is not enough without the secured proprietary interest and other requirements. The handout specifically recognises mortgagee powers given to secure their proprietary interest. Distinguish an **enduring POA**, whose purpose includes surviving incapacity, from an ordinary/general power; enduring status must itself be validly established.

7. Direct dealings: s.5(2) POAO

If A deals with the attorney **without knowledge that the power was revoked**, the transaction can remain valid in A's favour as if the power subsisted. Determine A's actual knowledge at the transaction. Revocation and lack of authority from the outset are different problems: the protection should not be used without analysing its statutory subject matter.

8. Later purchaser: s.5(4) POAO

Where later P's title depends on the earlier direct dealer's protection under s.5(2), the earlier dealer's ignorance of revocation is **conclusively presumed in P's favour** if:

- the earlier attorney transaction completed within **twelve months** of the power coming into operation; or
- the person who dealt with the attorney makes the required declaration of lack of knowledge **before or within three months after the relevant later purchase's completion**, as interpreted in the course authorities.

Kung Wing Chuen v Antony Louis Marden [1990] 1 HKLR 540 deals with the subsequent-purchase timing. **Au Siu Wing Jacky v Choy Ka Lee [1999] 1 HKC 248; WOC Finance Co Ltd v Wing On Cheong Investment Co Ltd [2000] 2 HKLRD 713**: respect the declaration window; the attorney himself cannot supply the statutory declaration of the counterparty's ignorance. The benefit is for subsequent **purchasers**, not subsequent volunteers/donees.

Worked chain: donor D gives A a power; A conveys to B after possible revocation; B sells to P. First ask if B is protected under s.5(2). Then see whether P gets the conclusive s.5(4) proof of B's ignorance. P's own ignorance does not answer what B knew. A declaration by A that "my power was never revoked" is not B's statutory declaration.

9. Other evidence and certification

The statutory presumption is not the only evidential way to establish that a power remained operative. A donor's confirmation letter, especially from a bank, or informed evidence from involved solicitors may demonstrate non-revocation/no real risk: **WOC; Xiamen International Finance Co Ltd v Tsui Tai Yan [1987] HKLR 977**. But such evidence does not automatically satisfy the different conclusive s.5(4)(b) route. Identify exactly what the declarant knows and what is being proved.

Check **ss.3(1)-(2) POAO** certification requirements for copies, including page-by-page requirements described in the handout. A certified copy proves correspondence with the instrument; it does not establish the donor's capacity, the scope of the power or non-revocation.

Page 11 · Evidence, identity discrepancies and actual cures

Sources: N ¶794–845, 865–928; II ss.43–52; missing-document applications in N ¶610, 743.

1. Match the evidence to the legal issue

A statutory declaration proves matters within the declarant's knowledge; it does not transfer a missing estate or automatically establish a legal conclusion. A legal opinion addresses law; it does not substitute for the actual execution facts or constitutional record. A certified copy proves an original's contents, subject to certification and authenticity; it cannot establish that the underlying deed was valid.

Re Halifax secondary-evidence framework, as described in the slides: clear and cogent evidence of the instrument's existence and contents; loss/destruction with a credible explanation; diligent good-faith searches where it would probably be found; and sufficiently reliable secondary evidence. Specify searches of the owner, former solicitors, bank, registry or corporate records as appropriate. This framework matters for missing POAs, articles/resolutions and other essential title instruments; do not merely say "provide an affidavit".

2. Signatures and names

The vendor must demonstrate that differently named/signing persons in consecutive links are the same person. **Ma Chun-man v Yung, Yung, Yu, Yuen & Co [1978] HKLR 26**: unaddressed discrepancy could render title defective and solicitors negligent.

Many Wise Investments Ltd v Tech Profit Development Ltd [1993] 2 HKC 517: thirty-four years, brush versus ballpoint and full versus abbreviated Chinese character forms explained the difference. Context may dissipate doubt; not every visual variation warrants a new conveyance.

Chudai (HK) Development Co Ltd v Portia International Ltd [1992] 1 HKLR 350: alias discrepancy cured by the signatory's statutory declaration. **Liu Moon Ping v Wong Kwok Tung [2006] 1 HKLRD 358**: English/Australian-passport execution versus Chinese/HK-ID execution involved sufficiently significant identity differences to require explanation.

Best evidence is often a declaration from the person linking both names/signatures, supported by identity records. **Lam Kin I v Tsui Ming Yee (HCMP 361/1989)** supports that remedy. **GB Industries Ltd v Yu Chung Kwok (HCMP 1060/1994)** permits an informed solicitor declaration; **Chan Hei Leung Thomson v Kuo Yuo-chien (DCMP 1271/2012)** accepted direct solicitor evidence while recognising the signatory's declaration as the best remedy. Do not assume a current solicitor with no involvement or records knows the historical identity.

3. Passport numbers, ID numbers and corporate identity

Free Focus Ltd v Fels China Ltd [1989] 2 HKC 568 and **Yiu Ping Fong v Lam Lai Hing [1999] 1 HKLRD 793**: passports commonly change on renewal. Same name/signature and appropriate notarial identification can explain changed numbers. That is evidence-based reassurance, not a guarantee that every different passport number is immaterial.

Qin Tian v 譚震 (DCCJ 3712/2014): Mainland ID-number differences were more concerning because those identifiers normally remain stable. **Lai Wai v Lee Yuet Yung Pat [2012] 5 HKC 163**: older pre-1960s HK identity-card history may explain changes. Investigate the date/system before assuming stability.

Sunluck International Development Ltd v Hing King Development Ltd (HCMP 3160/1997): errors in Chinese characters on the corporate chop could be resolved with correct body wording,

English/Chinese identification, registered address and business-registration details. Distinguish ambiguity of identity from using another company's seal; **Good Lion** and **Li Kwan Chuen** illustrate the difference.

4. Stamping as completion machinery

Town Bright Industries Ltd v Bermuda Trust (HK) Ltd [1998] 2 HKC 445: on the course account, an undertaking by V's solicitor/counsel to stamp before completion could make the omission a conveyancing matter rather than a fundamental title defect. **Sun Champ Investment Ltd v Green Leaves Trade Investment Ltd (DCMP 706/2013)** is given for failure to offer the necessary undertaking, and elsewhere for irremovable area misrepresentation. Town Bright is the name given in N ¶1794; the stamping and area-misrepresentation discussions refer to Sun Champ under the same docket. Verify the distinct propositions against the judgment before formal citation.

The useful rule is limited: identify the instrument, stamping requirement, ability and commitment to fulfil it before completion. Do not assume every stamping problem can be postponed indefinitely or every unstamped instrument invalidates the estate.

5. Confirmatory assignments and releases

Where an estate never passed, obtain a new effective conveyance from the holder of the retained estate or the legally empowered substitute. The handout identifies these common triggers:

- missing/wrong/invalid pre-2014 company seal, or invalid seal-route execution;
- unreleased mortgage/charge;
- incorrect shares conveyed/released;
- a contributing occupier's retained beneficial interest;
- a nominator's unrelinquished beneficial interest;
- applicable defective attestation with no effective statutory cure.

"Confirmatory assignment" describes the remedial conveyance; the correct instrument for an outstanding mortgage may instead be a proper deed/receipt of release. State who signs, which interest is being conveyed/released, the intended grantee and correct shares/property. Have the remedial instrument itself validly executed. A declaration saying the earlier deed "was intended to be valid" cannot always transfer an estate that remains in someone else.

6. Court-authorised execution and dissolved companies

s.25A High Court Ordinance and **s.38A District Court Ordinance** permit the relevant court-authorised execution where the required party neglects/refuses to comply or cannot be found, subject to the statutory/order conditions. **Lam Kiu Shing v Yau Fuk [2016] 3 HKLRD 242** illustrates Registrar execution curing a Japanese-occupation-era defect.

Chong Chi Ting Chris v Kin On Building (IO) [2023] HKDC 325: a roof ownership/common-area dispute required confirmatory assignments, but Registrar execution was not treated as a convenience service. Special/exceptional circumstances were required for the requested route; the court instead appointed a partner of P's solicitors and nominated the Secretary for Justice for the developer's execution. Obtain the appropriate order and mechanism; do not assume every inconvenient signature can be replaced by the Registrar.

The handout also notes the **Registrar of Companies' s.757 CO** power, formerly s.291B, for specified documents of dissolved companies. Its use depends on statutory scope; identify the relevant dissolution and interest rather than treating it as an automatic all-purpose conveyancing authority.

7. Vesting orders

s.45(b)(iii) Trustee Ordinance is the course's common route where land is vested in a trustee and a vesting order is expedient. An ineffective legal assignment after an enforceable S&P may leave the vendor holding the legal estate while the purchaser has the equitable entitlement. Establish that entitlement and where the legal estate now vests, then seek the order vesting it appropriately.

Authorities and applications:

Case	Supplied teaching point
Wong Shuk-ying v Attorney General [1987] HKLR 985	Company retained legal estate after ineffective assignment and went into liquidation; vesting order
Chung Ka Leung v SJ (HCMP 4129/99)	Corporate attestation problem; corrective vesting route
Tam Chi Kwong v SJ [2007] 2 HKLRD 373	Wrong seal by corporate confirmor; company wound up
Capital Ltd v SJ [2005] 4 HKC 84	Wrong-seal remedial example cited in the handout
Fook Tai Investment Co Ltd v SJ [2013] 4 HKLRD 102	Misdescription/corrective vesting example
Chan Ping Sang Johnny v SJ [2017] 2 HKLRD 1082	Slide example distinguishing remaining equitable title from the defective corporate execution
Re Lee Yang, Shiu Chuen Joyce [2021] 4 HKLRD 252	Dissolved company's interest/bona vacantia; SJ as appropriate defendant
Lead Properties Ltd v SJ [2022] HKCFI 3297	Summary of vesting-order principles; full principles not reproduced in the uploads

A court order is a substantive cure, not merely risk reassurance. The ability to apply does not prove that it will be granted or obtained by the contractual completion date. Timing belongs in the termination analysis.

8. Cure selection table

Problem actually proved	Suitable response	Insufficient shortcut
Identity ambiguity	Informed declaration, official identity/name continuity evidence	Ignoring different IDs
Lost valid instrument	Re Halifax-compliant secondary evidence	Unexplained photocopy or speculation
Void transfer/missing estate	Proper confirmatory conveyance/vesting order	"No one complained for years"
Live mortgage	Proper release; s.12A process; justified limitation declaration	Registry vacation alone
Existing beneficial interest	Informed release/confirmor conveyance; valid priority analysis	Registered owner denies it
Removable UBW	Lawful completed works plus compliance proof and substantial performance	Promise to demolish without plans/time analysis
Finite collective repair cost	Appropriate secure arrangement if legally acceptable	Arbitrary round-sum indemnity

Page 12 · Indemnities, termination and VP summons procedure

Sources: N ¶851–863, 931–982; II ss.36–42, 53–56.

1. Is security a real cure or a different bargain?

An indemnity gives P a claim against someone if loss occurs. It does not itself release a mortgage, convey missing shares, validate a void assignment or legalise UBW. Stakeholding retains money with an identified holder under defined release conditions. A solicitor's undertaking is an enforceable professional commitment within its terms; it is not automatically ownership or regulatory compliance. A bank guarantee reduces credit risk but may leave litigation, resale and enforcement problems.

Start with the obligation promised by the S&P. Then ask whether the arrangement delivers that bargain or requires P to accept a different estate and later pursue compensation. There is no universal "V offers money so P must complete" rule, nor an unqualified rule rejecting every post-completion arrangement.

2. Authorities rejecting substitution

Chan Fung Lan v Lai Wai Chuen [1997] 1 HKC 1: historical estate-duty exposure following a gift; an 18% retention/indemnity did not require P to accept the title. The liability, resale implications and release of security after the period could not be treated as solved merely by a fund. The case applied **Re Heysman's and Tweedy's Contract (1893) 69 LT 91**.

Tsang Kwok Hung Frederick v Ching Lai Tuen [2008] 6 HKC 420: drainage/window notice and retention proposal were not accepted as giving good title. **Lucky Health:** even a large retention/bank guarantee did not mean P must assume exceptional IO litigation. **Gigabillion:** the unidentified magnitude and narrow/unsecured indemnity made adequacy impossible to establish.

These cases support insisting on the contracted estate where the burden is exceptional, indefinite, structural or litigation-laden, or the proposed protection is incomplete. Simply comparing the offered amount with the apparent bill may miss the continuing title and resale consequences.

3. Authorities accepting practical arrangements

Lam Mee Hing v Chiang Shu Yin [1995] 3 HKC 247: common-slope remedial work involved a quantifiable apportioned liability. The slides describe 1/147 of estimated total costs and a fortified \$100,000 retention arrangement. The exact arrangement and court order matter; this was not an unsecured promise about an unknown burden.

Hu Mei Yu Anastasia v King Best Enterprises Ltd (HCA 9317/1998): the slides quote acceptance of V's reasonable undertaking in a slope-investigation/report setting, observing that a willing P concerned about insecurity should have requested appropriate security rather than dismissing it without engagement. The handout's earlier paragraph suggests doubt about an undertaking, while its later cure section lists the case as acceptable. Use the quoted reasoning with the exact facts and flag the inconsistency; do not create a categorical rule either way.

Luk Ho Chang provides the finite repair-contribution setting and contractual cut-off analysis; the handout's cure section treats a reasonable retention as the solution. **E-Global Ltd v Trenda Ltd [2013] 5 HKC 192:** \$50,000 stakeholding was acceptable for the described fire-safety compliance in a large building. Do not transplant that sum to an unrelated liability.

Mexon supplies the practical approach: willing parties using robust commonsense to complete their bargain. It does not authorise P to be compelled into an exceptional litigation risk or let V omit evidence of the burden.

4. A disciplined reconciliation checklist

Consider all of the following in one analysis:

1. **Nature:** finite repair contribution, outstanding ownership interest, extraordinary litigation, re-entry risk or ongoing illegality?
2. **Magnitude and certainty:** reliable estimate, apportionment, worst-case exposure, interest/costs and contingencies?
3. **Timing and control:** realistically curable before completion, necessarily collective/post-completion work, or indefinite future event?
4. **Coverage:** all heads of liability, legal costs, future demands, unit and successors covered?
5. **Enforceability and security:** binding undertaking, solvency, bank/fund backing, stakeholder instructions and release conditions?
6. **Resale:** will P be able to show/give good title to a later purchaser, or face renewing the same security indefinitely?
7. **Contract:** express warranty, risk allocation, consent to retention or exclusion?
8. **Conduct and disclosure:** candid timely estimate and engagement, or last-minute arbitrary offer?

Argument for V: a bounded collective expense with robust security delivers the agreed financial allocation and should be accepted under the practical cases. **Argument for P:** missing estate, unknown/exceptional litigation or recurring title risk is not cured by compensation; P would receive materially less than promised. Conclude on the concrete factors rather than selecting only the convenient line of cases.

5. “Rescission” in conveyancing

The sources use “rescission” for termination following repudiatory breach, with deposit consequences, rather than only equitable rescission for a formation defect such as misrepresentation or duress. In an answer specify the legal basis and consequences. Termination for V’s breach commonly supports recovery of P’s deposit; damages and a purchaser’s lien must be analysed on their own basis. It does not automatically establish the amount of damages or every claimed consequential loss.

Big Most Ltd v Chau Wa Hung [2012] 4 HKLRD 599: failure to show title through required documents/adequate answers can be repudiatory. Identify the deadline, seriousness and communication; not every initially incomplete answer authorises immediate termination while the process remains open.

6. When can P terminate?

Situation	Course approach	Answer requirements
Curable title defect discovered well before completion	Ordinarily do not terminate immediately solely because the defect exists; V has until completion to give title	Chu Wing Ning v Ngan Hing Cheung (HCA 9409/1991); realistic cure and time
Fundamental defect incapable of removal by completion	Immediate termination may be available	A-Mayson Development v Betterfit [1992] 2 HKC 533; identify why cure cannot succeed
Irremovable defect with substantial-performance issue	Assess both irreparability and whether remaining bargain can be performed	Continental Zone v More Glory (HCMP 446/2012); Peyman v Lanjani [1985] Ch 457
Separate matured failure to show title in time	Underlying title might ultimately be good, but P may still rely on the serious evidential breach	Kok; Active Keen; Big Most
Validly acceptable post-completion cure	May defeat asserted entitlement to refuse	Apply practical-cure cases and contract, not mere existence of an offer

Sun Champ Investment Ltd v Green Leaves Trade Investment Ltd (DCMP 706/2013) is described for irremovable saleable-area misrepresentation shortly before completion. Where area is missing, distinguish title, contractual description and misrepresentation; do not assume an owner's promise to pay later creates the missing floor area.

Answer the chronology: discovery, requisition, response, stated cure, termination, completion deadline and actual ability to perform. Premature termination can itself expose P to repudiation/deposit forfeiture claims. Conversely, waiting for completion is not necessarily required once a matured repudiatory failure to show title or a clearly irremovable fundamental defect is established.

7. Vendor's rescission clause

A vendor's express clause commonly permits termination if title requisitions cannot be met, or cannot reasonably be met without difficulty, delay or expense. Read the clause, procedural requirements and grounds carefully.

The course gives limits: **Bowman v Hyland (1878) 8 ChD 588** for no/bad title; **Selkirk v Romar Investments Ltd [1963] 1 WLR 1415 (PC)** for recklessness/bad faith; **Lee Siu Wai Florence v Priway Investments Ltd [1998] 1 HKC 228** for known prior S&P defect not disclosed. Such a clause is not implied into every S&P: **Gain Sky Ltd v Chau Tak Hing (HCA 917/2004)**; **Tele Step Ltd v Pong Man Tat [2011] 1 HKLRD 645**. Detailed LG8 clause mechanics are beyond the uploaded materials.

V cannot simply reply "we are unwilling to answer" unless the actual contract and applicable good-faith limits support that course.

8. VP summons under s.12 CPO

Either party may apply by originating summons to decide a question arising from/connected with a land sale/exchange contract, within the statutory exclusions. The course specifies CFI, or DC with the required party agreement. Typical questions: has V shown good title, and were requisitions adequately answered?

The statutory exclusion for questions affecting **contract validity** and Government compensation must be distinguished from determining performance/termination under an existing contract. **Wide Link Ltd v Tam Sing Cheong [1999] 3 HKC 405** is given for jurisdiction in the particular misrepresentation/repayment dispute; do not generalise it as erasing the statutory exclusion. **Lai Ke Bin v Capital Project Development Ltd [2009] 2 HKLRD 49** supports specific performance on a VP summons in the case described.

Where material facts are substantially disputed or the claim falls outside the summary statutory scope, consider ordinary writ proceedings/the appropriate procedure. The slides mention writs without a detailed independent procedure code; no universal rule that all title questions must use one route is supplied.

The procedure is **inter partes**, not an ex parte title-cleaning application: **Re Kwong Sin Tong (HCMP 2797/1993)**. It must not be used merely to shield solicitors at their clients' expense: **Castle City Ltd v Choi Yue Development Ltd [1995] 2 HKC 593**. Courts discourage trivial requisitions: **Guang Xin Enterprises Ltd v Leung Kwai Mui [1996] 4 HKC 572**. It is not a general advisory opinion on ownership: **Cheng Sin Yau v Wong Kam Pui Dicky (HCMP 98/2015)**.

Frame the real disputed obligation and sought relief. If a genuine purchaser's lien is relied on, plead it and analyse registrability (Page 04). Court proceedings can determine a dispute; initiating them is not itself evidence that completion was validly postponed.

Page 13 · Integrated problem answers and rapid revision

The following hypotheticals are newly constructed explanatory exercises, not past papers or facts from the uploads. They combine the course issues to practise holistic analysis.

Problem A: extra units, rooftop room and a late architect's letter

Facts: P buys Flat C. OP shows seven units; assignment plan shows nine. The building has a rooftop room. V replies two days before completion that the flat is non-structural and there has never been enforcement. P considers terminating immediately.

Structured answer:

1. Separate showing and giving. The OP discrepancy reasonably requires inquiry. A late generic opinion may fail **Kok / Active Keen** even if a substantive defence later emerges. State the contractual/implied timing and what the letter actually explains.
2. Locate the extra units and rooftop works. If the unit combination is confined to other flats, **Active Keen / Hong Kong Central Hospital** may support the subject title. Roof/common-structure works may create collective exposure; do not apply that protection without tracing location and liability.
3. For the rooftop room, **Mariner** means “not in the building” can defeat s.41(3) exemption independently of structural character. Heavy concrete raises the **MTR** point too. Inspect approval/minor-works evidence.
4. Assess **Spark Rich** safe-disregard risk against concrete enforcement history; decades of inaction and an “unlikely” letter are not automatically enough. Check lease linkage (**Giant River**) and DMC restrictions independently.
5. Request OP/approved plans, work chronology, BA correspondence, structural/drainage evidence, lease/DMC and actual cure plan. If V proposes demolition, ask whether approvals and completion timing are realistic and whether P loses significant area/value/function under **Cashew / Max Smart**.
6. Decide timing. Curable defect alone normally leaves V until completion. A serious matured showing-title breach is separate; an irremovable fundamental defect may permit earlier termination. Identify the basis rather than saying P may rescind simply because UBW exists.

Likely conditional conclusion: V's response is inadequate if it does not address the additional units, roof liability and all relevant facts. P's entitlement to terminate depends on whether the disclosure failure has matured into repudiation and/or whether lawful substantial cure before completion is impossible.

Problem B: family estate, undervalue gift and occupier

Facts: A died with a tenancy-in-common share. The administrator transferred it cheaply to his daughter. A's widow lives there and says she funded the deposit. The daughter sells, producing only probate papers and the earlier assignment.

Structured answer:

1. No survivorship for the deceased's tenancy-in-common share. Require death/grant, will or intestacy basis, transfer form and actual beneficiary entitlement (**Sun Sek Haw / So Mariko**).
2. Grant of administration is authority to administer, not proof that the daughter alone owned the asset. Consider **s.55 / Feerni**, improper estate purpose and serious undervalue (**Lam Sik Shi**); the ordinary administration-sale presumption may be displaced.

3. Investigate the widow's contributions and intention; analyse RT/CICT and any relevant advancement presumption. Do not assume that she inherits the entire share or that her occupancy alone establishes a trust.
4. Occupation and her express claim put P on notice. P cannot plausibly claim equity's darling while ignoring it (**Wong Chim Ying; Flying Mortgage**). Assess an acquisition mortgage's priority separately if relevant (**Cann**).
5. Examine gift/undervalue/fraud routes, with the applicable bankruptcy dates and creditor facts. Low consideration is evidence, not automatic proof of every statutory ground.
6. Demand valid distribution/authority evidence, beneficiary approvals or court authorisation as appropriate, and a genuine release/confirmor conveyance of any widow's interest. Probate papers do not release her independent equitable ownership.

Conclusion: the daughter has not shown an unencumbered title merely by proving registration. Multiple possible claimants need distinct, substantive answers; an indemnity cannot by itself transfer any missing beneficial estate.

Problem C: 2015 company release by a foreign-bank attorney

Facts: a legal mortgage was "released" in 2015. A company with three directors signed by one director. It purported to act for a foreign bank under an unsealed POA. The register shows the mortgage entry vacated. P contracts in 2026.

Structured answer:

1. Registry vacation does not establish release (**Siu Wing Yee**). Identify whether the document is a s.56 receipt or a deed; the applicable formalities differ.
2. A 2015 document is less than fifteen years old for a 2026 S&P, so no corporate s.23A(2) age protection. Post-2003 means no s.23A(1) historical-authorisation route either.
3. Under current CO, one director of a three-director company does not satisfy the statutory signature route merely by signing. Check whether another lawful execution/authority route or s.23 appearance is actually available; the company has not met the sole-director shortcut.
4. Independently inspect the foreign bank's POA execution and scope. **s.26(1) LARCO** may accommodate a foreign unsealed corporate power if proved valid under incorporation law; unsupported assertion is insufficient (**Li Yuen Ling / Wang Zhidun**).
5. Check the POA's power to release the particular security and non-revocation/protection. A perfect foreign-law opinion about the power would not alone cure a badly executed release by its donee.
6. Obtain a fresh properly executed release or other effective cure. Verify the exact mortgage/property/shares and every executing capacity (**Au Wai Ming**).

Conclusion: a vacated entry and repayment evidence do not resolve two independent execution defects. Show an actual effective discharge and its supporting authority, rather than only no complaint since 2015.

Problem D: expired charging order, hanging S&P and IO injury claim

Facts: a 2019 charging order was not renewed. A 2020 registered S&P has no assignment. An IO faces a personal-injury claim. V offers \$100,000 retention and says everything is "old".

Structured answer:

1. CO: establish expiry and the precise dates of P's registration and any renewal. An intervening qualifying purchaser may gain s.3(2) LRO protection (**Wong Chung Keung**); expiry alone does not extinguish debt/order (**Si Tou Choi Kam**).
2. Hanging S&P: obtain termination, settlement, damages and lien evidence. **Hansun / Guang Xin** may remove the prior buyer's purchase interest, but a continuing genuine lien needs separate treatment. A stale register entry is not proof of abandonment.
3. IO litigation: apply **s.17 BMO**, assess damages/costs, resources/insurance and enforcement exposure. A personal claim against IO can burden P unlike an ordinary personal debt claim against V (**Lucky Health**).
4. V must provide particulars and a reliable risk estimate in time (**Kan Yui Man; Lo Yee Man; Gigabillion**). "Only a claim" or "old matter" does not answer the statutory liability route.
5. Evaluate the retention against each burden separately. It may be irrelevant to a priority-protected CO, insufficient for an unextinguished prior proprietary interest, and arbitrary against an unknown major IO claim. Apply Page 12's coverage/enforceability/resale checklist.

Conclusion: V may have a defensible answer to the expired CO, but that does not answer the prior purchaser's rights or exceptional collective litigation. Success on one requisition does not prove the entire title.

Problem E: survivor sells a flat and separate parking space

Facts: H and W acquired as joint tenants. H mortgaged his interest secretly, then died. W sells the flat and parking space to separate buyers. The DMC prohibits separation; the parking space is in a different location from the plan.

Structured answer: investigate whether the mortgage severed the joint tenancy (**Mak Pui Ki**) and thus whether W actually acquired all the estate by survivorship. Do not apply the charging-order comparison indiscriminately. Follow any deceased share through estate administration. Next analyse the DMC restriction (**Lo Chi Wai; Dragon Top**) independently of W's ownership. Finally compare the actual parking location with the conveyed shares/exclusive-use plan (**Fan Tony**) and obtain reinstatement or a valid corrective instrument. A death certificate alone, physical use of the relocated bay and willingness to indemnify do not answer all three issues.

Rapid revision: questions to ask in every problem

Trigger	Ask immediately	Core anchors
Late or evasive reply	Was title shown in time, regardless of ultimate title?	Kok; Active Keen; Ng Chek Kok
Death	Survivorship or estate transmission? Was there severance?	Sun Sek Haw; So Mariko; Mak Pui Ki
Family/nomination	Who funded, what intention, any retained interest and notice?	Formking; Prime Credit; Wong Chim Ying
Gift/undervalue	Gift intention, creditor/insolvency challenge, purchaser protections?	Osman; Tradepower
Mortgage entry gone	Actual valid discharge or merely vacation?	Siu Wing Yee; Trump Well
Old CO	Expiry versus extinction; P's registration before renewal?	Wong Chung Keung; Si Tou Choi Kam
Old S&P	Prior buyer's election, settlement and any lien?	Hansun; Liu Chi Keung
UBW	Works/exemption, affected unit, enforcement and lawful cure?	Mariner; Spark Rich; Active Keen
Order/repair	Mandatory? Extraordinary? Liability accrued?	All Ports; Hu Mei Yu; Luk Ho Chang
IO lawsuit	BMO route, magnitude/costs, insurance and disclosure?	Lucky Health; Gigabillion
Company deed	Date, execution route, capacities and 15-year threshold?	s.23A; Leung Kwai Lin; CO ss.127-128
POA	Valid power, particular act, operative power/protection?	Lo Hung Biu; WOC; POAO s.5
Wrong name/ID	Same person and credible supporting evidence?	Many Wise; Qin Tian
Missing estate	Actual conveyance/vesting, not just reassurance?	Li Kwan Chuen; Whole Year; Lead Properties
Retention offer	Defined liability, full coverage, security and resale?	Chan Fung Lan versus Lam Mee Hing
Early termination	Matured showing breach or genuinely irremovable defect?	Big Most; Chu Wing Ning; A-Mayson

Suggested revision sequence

First learn Page 01 and the question sequence. Then study beneficial ownership (Page 05), UBW/collective liability (Pages 06–07), and execution/POAs (Pages 09–10) as connected clusters. Use the remaining pages for chain-specific problems and cures. Attempt the five hypotheticals without the structured answers; afterwards check whether each conclusion addresses evidence, substantive title, cure and timing. Practise applying dates rather than memorising a fixed 2011 threshold.

For a timed answer, spend space on disputed mechanisms and material facts. Do not recite every case in the pack; select one leading rule and the most relevant comparison for each issue. End each issue with the evidence/cure required and a conditional or definite conclusion supported by the given facts.

Page 14 · Source audit, conflicts and verification queue

1. Coverage map for all supplied material

Course area	Handout paragraphs	Slides	Notes page
Giving/showing, requisition timing and chain production	12-18; 894-900	I 2-8	01
Death, administration and beneficiary entitlement	23-53	I 9-12	02
Joint ownership and severance	56-62; 488-492	I 12; II 4	02, 13
Tenancy/surrender/occupation	65-71; 374-423	I 13; II 5-6	05
Mortgages, releases, s.12A and limitation	74-110	I 14-16	03
Trusts, gifts and nominations	114-132; 334-357	I 17-18; II 2, 5	05
Rights of way	135-139	—	08
Charging orders, lis pendens and foreign orders	142-174	I 19-21	04
Hanging S&P/pending registration	177-183	I 22	04
Government/BA orders and withdrawal	186-207	I 24-29	06, 08
UBW, exemption, risk, affected flats	211-283	I 23, 30-36	06
Demolition, substantial performance and purchaser conduct	288-310	I 37-38	06, 12
IO/DMC fees, repairs and litigation	313-331	I 39-40; II 36-42	07, 12
Winding-up, names, HOS and corporate due diligence	360-367; 495-497	II 4	08
Illegality in trust claims	426-444	II 7	05
Lease, OP and material change of user	449-462	I 29; II 8	08
Boundaries, encroachment and share allocation	465-471; 833-845	—	08
Fraudulent/conflicted conveyances	474-480	II 4	05, 08
Fire safety	483-485	II 9, 36-42	07
Natural-person execution and attestation	500-517; 797-799	II 10-11	09
Corporate seals, articles, presumptions and ratification	519-689	II 12-26	09
Foreign corporate execution	692-708	II 27-28	09
POA form, production, vires and revocation	711-792	II 29-35	10
Stamping	794	—	11

Course area	Handout paragraphs	Slides	Notes page
Signatures, names, passports and IDs	802-830	II 43-46	11
Stakeholding, indemnities and undertakings	851-863	II 36-42	12
Confirmatory assignment and court/company execution	865-881	II 47-50	11
Vesting orders	883-891	II 51-52	11
Bad title and no-real-risk limits	894-928	II 54	01, 09, 11
Vendor rescission clause	931-939	—	12
Repudiation, termination timing and VP summons	942-982	II 53, 55-56	12

Blank/title-only slides introduce the surrounding topic and do not supply a separate doctrinal rule. Slide pictures largely illustrate buildings, seals, instruments and case settings. One Part II slide 9 picture is linked rather than embedded and was not available in the uploaded package; the slide's explanatory text was available and is covered. Execution-clause images in Part II slide 16 illustrate seal/signature/attestation distinctions addressed on Page 09. No additional legal proposition has been inferred from illustrative photographs.

2. Differences that should not be silently harmonised

Source problem	Treatment in this pack	What to verify before formal citation
Trump Well: handout says legal mortgage remained undischarged; I s.15 stresses merger explanation offered only at hearing	Preserve surviving-security inquiry and separate showing-title timing	Judgment's exact disposition and effect of release wording
Hu Mei Yu: N ¶194 doubts undertaking, N ¶861 and II ss.39–40 accept it	Explain finite collective liability and quoted practical reasoning; flag inconsistency	Exact undertaking, security and scope of holding
s.23: general statement says failure of s.20 prevents reliance, but Tread East examples allow s.23	Treat s.23 appearance as a separate contextual inquiry	Articles, execution wording and actual officer status
Chase Eagle [2013] 1 HKLRD 933: Xiao Dong/Xiao Ming name variants and opposing descriptions of foreign-law evidence	No unqualified statement of disputed holding	Correct party name, constitution evidence and judgment reasoning
Gigabillion: slides [2014] 2 HKLRD 922; handout [2015] 2 HKLRD 100 / [2015] 2 HKC 384	Preserve common teaching points without claiming reports are identical	Whether citations are separate procedural decisions and correct judgment for each proposition
Lucky Health / Chi Kit reversed case-name order and one paragraph's 2003/date reference	Use 2000 CFA citation supplied elsewhere; distinguish pending exposure from judgment facts	Correct report/caption and chronology
s.23A "more than 15" versus statute "not less than 15"	Exact anniversary included	Wording and all statutory conditions
s.23A(3) "after" versus quoted "on or after" commencement	Follow quoted statutory wording	Historical contract date
II s.24 "impossible now" about post-2003 deeds younger than 15	Correct: 2015 deed is still young in 2026; only pre-2003 class is necessarily old	Apply actual current S&P date
II s.25 suggests no common seal is criminal	Correct: seal is optional; noncompliant adopted seal is different	Current ss.124–128 wording
N ¶525 mislabels CPO Cap 32	CPO Cap 219; former CO Cap 32	Correct statute for each cited section
Course broad application of new CO to foreign-company deeds	Flag entity/statutory/conflict-of-laws scope rather than universal extension	Applicable sections, foreign law and place/type of execution
s.13(4A) presumes authority but Lo Hung Biu excludes particular vires issue	Separate production/formal execution from gift/self-dealing limits	Exact statutory wording and appellate interpretation
Fire-direction cases versus later ss.19U–19V	Time- and instrument-sensitive statutory-charge analysis	Legislative version and commencement dates relevant to facts
Estate duty "abolished 2005" versus slide "before Feb 2006"	Historical/transitional check, not a blanket present burden	Applicable death/gift date and transitional legislation
Simplified widow/children fractions	Do not state as complete intestacy rule	Statutory entitlement, estate composition and relevant date
Gift dressed as market-consideration assignment	Recital does not establish actual value/payment	Real transaction, creditor prejudice and applicable protections
BO "structural" slide repeats exemption wording instead of definition	Use Mariner's integral-structure reasoning and concrete factual inquiries	Approved work details and judgment language
Poon Lok To paragraph range "[46]–[40]"	No invented pinpoint	Correct judgment paragraphs
Grandco date "6 April 20000"; several spelling variants	Use neutral case identification/docket where possible	Report/docket spelling and date

Source problem	Treatment in this pack	What to verify before formal citation
Part F treats some attestation defects as void while Part C uses voidability/no-real-risk cases	Present handout's proposed distinction and actual-estate inquiry	Applicable binding authority and whether legal estate actually passed

3. What is complete and what is source-limited?

Preparation completed: extraction of text from all three uploaded files; reading of the handout and both slide decks; review of embedded-image overview for additional substantive material; organisation into thematic pages; explanation of rules and case applications; integrated analyses; statutory/date checklists; five worked examples; source cross-references; rapid revision table; and an explicit discrepancy register.

The source appendix preserves the complete extracted text, including additional case references that the course itself mentions without explanation. Those short references have been identified as such rather than supplied with invented holdings. The appendix is a source record, not a substitute for the synthesised explanations.

Remaining source-limited verification: full judgments for the conflict rows; legislative wording/versions and amendment commencement; earlier root-of-title lectures; LG8 vendor-rescission clause mechanics; the actual exam format, permitted materials and past papers. These were not supplied, and the pack does not claim to have reviewed them. The completed notes are suitable for course-based preparation, with those verification points visible where they affect analysis.

4. Final self-check before handing in an answer

Can you state the promised estate and affected interest precisely? Have you distinguished registration from validity and extinction? Have you calculated the relevant dates? Have you tested all independent regulatory/proprietary routes? Have you addressed the actual evidence and reply timing? Does your proposed remedy transfer/release the interest or merely promise compensation? Does demolition preserve substantial performance? Have you justified the timing and legal basis of termination? Have you identified the right procedure without treating court action as automatic postponement?